

CHARTING YOUR FINANCIAL JOURNEY TOGETHER

At M&M Wealth Associates, we guide families with clarity and confidence through a structured path. We help protect what matters to you, grow wisely, retire confidently, and build a legacy that lasts.

[Let's Get Started](#)



AGENDA

- **Intro:** Who We Are
- **About You:** Your Challenges, goals, risks,
- **Our Process:** Where you are and what you can expect
- **Our Framework:** Wealth Navigator
- **Let's Start Here:** Our Curated Topics
- **Next Steps:** Action items & Timeline



ABOUT US



WHY PEOPLE TRUST US



500+

Families Served



\$600M+

Legacy Secured



100+

Years Combined Experience



17

Team of Advisors



200,000+

Followers on Social Media

Our Core Values: R.I.T.E.E

These five values guide every conversation, every strategy, and every client relationship at M&M Wealth Associates.



RESPONSIBLE

Your future matters to us, and we take it just as seriously as you do.



INTEGRITY

Expect honest guidance, no fluff, no gimmicks, just strategies that work.



TRANSPARANCY

No hidden fees, no surprises. You'll have clarity in every conversation.



EMPATHY

Your goals aren't just financial, they are personal. We understand, we listen, and we care.



EXCELLENCE

Every recommendation, every plan, every conversation is tailored for your success



Lynn B. ★★★★★

They visually explained to me how changes in small details of my finances can lead to impressive results.



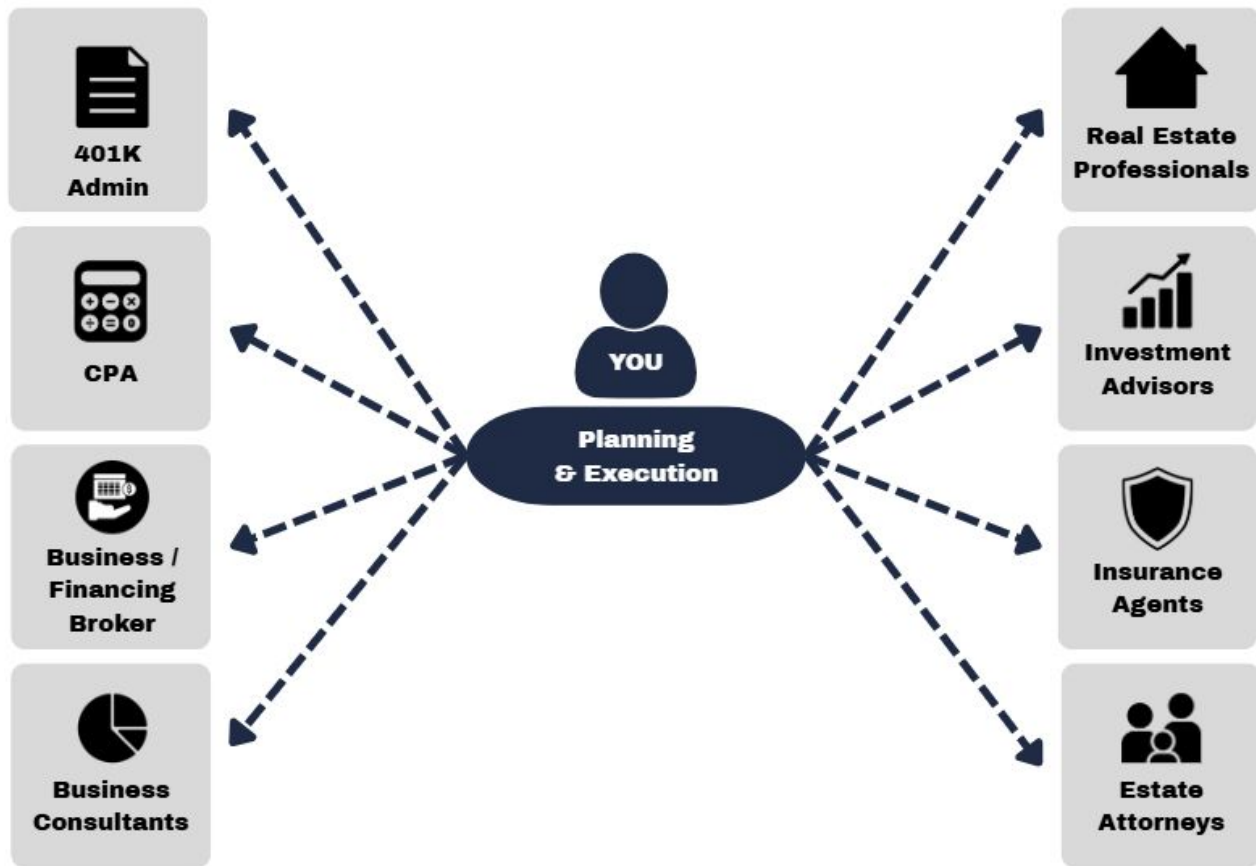
Josh H. ★★★★★

He looked at the big picture: income protection, estate planning risks, and how everything ties together.

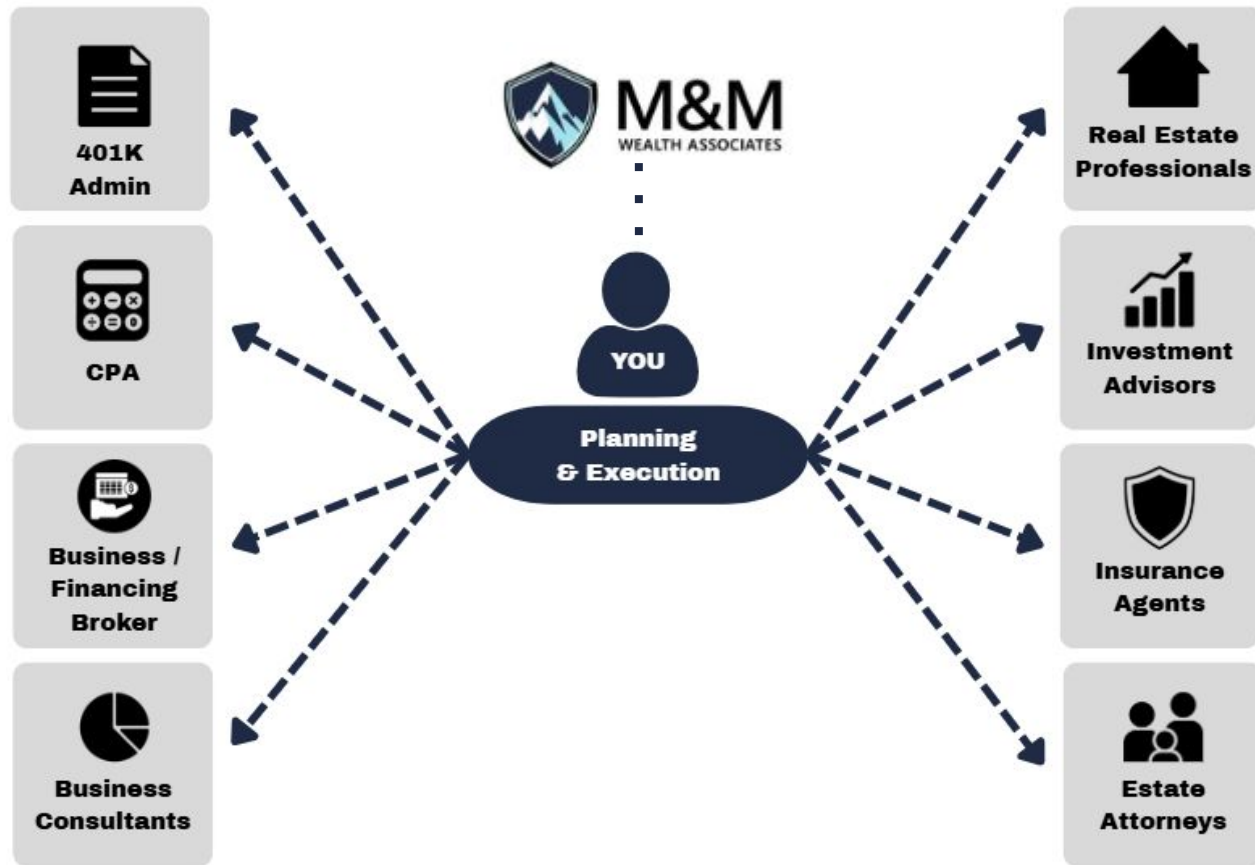


WHAT YOU ARE ALREADY DOING

- Designing
- Executing
- Coordinating



**WE JUST
HELP YOU
CONNECT
THE DOTS**



ABOUT YOU

Your Primary Goals:

- Retire early
- Save on taxes
- Build generational wealth

Your Questions:

- Is my retirement plan on track?
- Should I sell my property?
- How do I make the most money on my investments?

Our Concerns:

- Lack of risk mitigation strategies
- No diversification
- Overpaying on taxes



OUR 4-STEP PROCESS



DISCOVERY

Understand your needs
and goals



DIAGNOSIS

Analyze your situation



DESIGN

Develop a tailored
strategy



DEPLOYMENT

Implement, monitor,
and evolve

A blurred background image of a business meeting. Two people are seated at a desk. One person's hand is visible holding a pen over a calculator. The other person's hand is visible holding a pen over a document. A laptop is open in front of them, displaying a dashboard with charts and tables. The text is overlaid on this image.

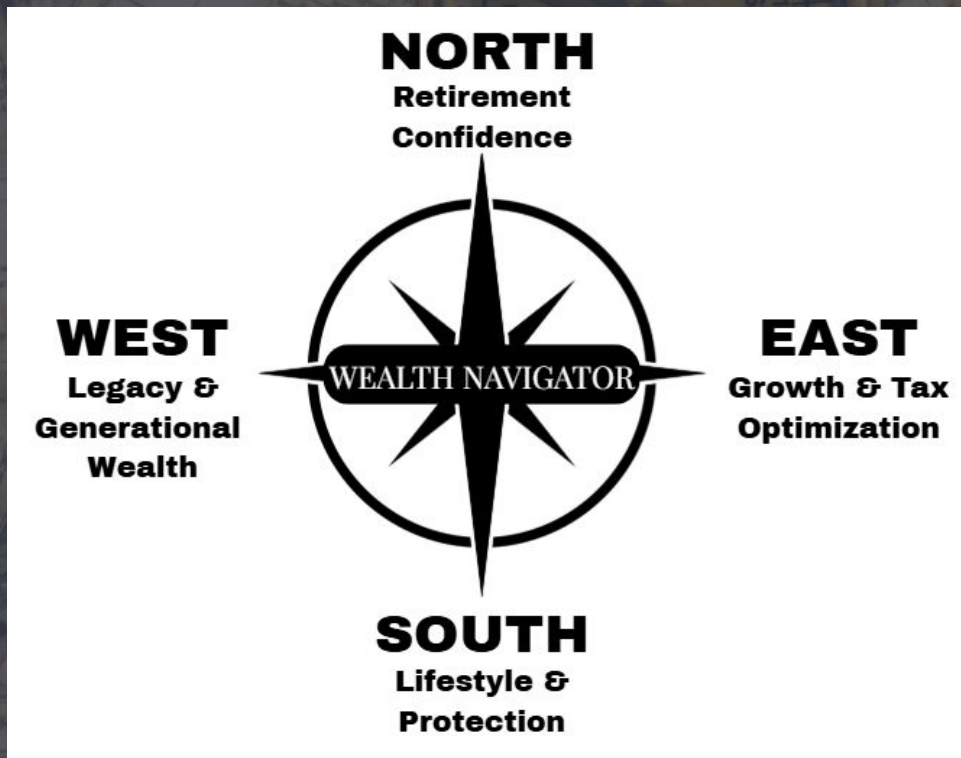
**PLANS EVOLVE. WE STAY
PROACTIVE.**

We'll adjust as life and laws change.

WEALTH NAVIGATOR

Created to help orient
your financial life with
clarity and confidence:

- Simple
- Modular
- Systematic
- Sustainable
- Scalable



YOUR CURATED TOPICS S-E-N-W



SOUTH

Lifestyle & Protection

- Life Insurance Solutions
- Disability & LTC Protection
- Health Insurance Coordination
- Property & Casualty
- Emergency Fund Planning
- Liability Mgmt
- Budgeting & Cash Flow Mgmt
- Guardianship Planning
- College Planning
- Real Estate



EAST

Growth & Tax Optimization

- Tax Diversification
- Tax Rate Analysis
- Tax-Efficient Investment Vehicles
- Roth Conversions & Bracket Mgmt
- Capital Gains & Tax-Loss Harvesting
- Defined Contribution & Benefit Plans
- Charitable Giving Strategies
- Entity Structuring For Tax Efficiency
- Tax-Aware Withdrawal Sequencing
- Portfolio Rebalancing



NORTH

Retirement Confidence

- Income Planning & Distribution
- Social Security Optimization
- Pension Analysis & Integration
- Required Minimum Distributions Planning
- Sustainable Withdrawal Strategies
- Longevity Risk Management
- Inflation Protection
- Retirement Cash Flow Modeling
- Bridge Strategies
- Survivor Benefit Planning
- Retirement Account Consolidation



WEST

Legacy & Generational Wealth

- Wills and Trusts
- Strategies to Avoid Probate
- Estate Tax Mitigation
- Charitable Trusts and Philanthropy
- Family Limited Partnerships
- Business Succession Planning
- Multi-Generational Wealth Transfer
- Gifting Strategies
- Special Needs Trusts
- Generation-Skipping Transfer Strategies
- Family Governance Structures

SOUTH: Lifestyle & Protection



Safeguarding what matters most to you so your family can live with confidence.

- Provides stability in the face of life's uncertainties.
- Ensures loved ones are cared for and responsibilities are met.
- **Risks/Cautions:** Civil lawsuits, unexpected health care costs, and income loss or reduction can disrupt stability.

Protection today means peace of mind to focus on tomorrow.

Term Life Insurance

Affordable, temporary coverage designed to replace income and protect family lifestyle during working years.

- Provides coverage for a set period (10,20,30 years)
- Lowest cost way to protect income and family lifestyle
- Ideal for covering mortgages, education, or income replacement during working years.
- Cons: pays out 1-2% of the time. - Expires with no cash value; premiums rise if renewed; not suitable for permanent needs.

Term life is the simplest way to ensure your family's lifestyle is protected during critical years.



Term Life Insurance Example Rates

Here's what a person with a preferred health rating could pay for a 20-year term life policy with a A+ Rated carrier with *full accelerated benefit riders* and *15-year guaranteed convertibility* based on 2026 rates.

Face Amount	\$250,000		\$500,000		\$1,000,000	
Age	Male	Female	Male	Female	Male	Female
25	\$17.60	\$14.30	\$28.60	\$22.00	\$50.60	\$37.40
35	\$19.36	\$16.72	\$32.12	\$26.84	\$57.64	\$47.08
45	\$36.74	\$30.14	\$66.88	\$53.68	\$127.16	\$100.76
55	\$81.62	\$59.62	\$156.64	\$112.64	\$306.68	\$218.68



Accelerated Benefit Riders aka Living Benefits



Terminal Illness

Expected to result
in death within
24 months



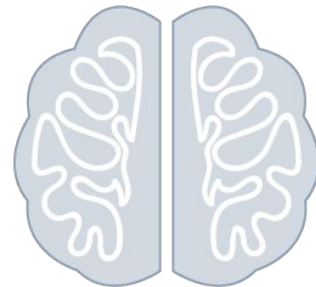
Chronic Illness

Unable to perform
certain activities
of daily living



Critical Illness

Cancer, heart
attack, stroke



Critical Injury

Paralysis, traumatic
brain injury, coma

Whole Life Insurance

Permanent coverage with guaranteed death benefit and cash value accumulation

- Lifetime protection with fixed premiums
- Cash value grows at a guaranteed rate.
- Can be used for estate planning or conservative savings
- Cons: Higher premiums; less flexibility; lower growth compared to market-linked products.

Whole life provides stability and permanence, making it a cornerstone for families seeking guaranteed protection.



Indexed Universal Life

Flexible permanent coverage with potential for market-linked cash value growth.

- Adjustable premiums and death benefit
- Cash value growth tied to stock market indexes (with caps/floors)
- Tax-free income potential via policy loans.
- Cons: Requires careful funding; growth limited by caps; complexity may confuse clients.

IUL offers protection plus flexibility, serving as both a lifestyle safeguard and a retirement/legacy tool.



IUL - Swiss Army Knife



IUL - Structure and Cash Accumulation

Cash Accumulation

Potential cash value accumulation for lifestyle needs, such as, supplemental distributions during retirement. Policy features include:

- **Interest Crediting Potential**
(Opportunity for interest credited based on a market index or a fixed rate)
- **No Loss of Cash Value, 0% Floor**
(0% floor protects against declines in an index)
- **Potential Cash Value Growth Tax-Deferred**
- **Potential Income Tax Free Distributions**
(Access to cash value using policy loans and distributions that may be income tax-free)



Critical Illness

(Cancer, Heart Attack, Stroke, etc.)

Chronic Illness

(Assistance with daily living, Bathing, Eating, etc.)

Terminal Illness

(Illness where death is expected within 12-24 months. Term varies by state.)

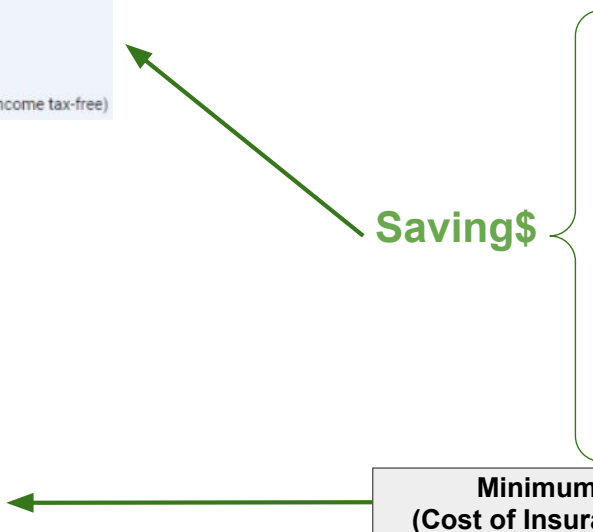
**Maximum
(Dictated by IRS)**



Saving\$

**Minimum
(Cost of Insurance)**

**Policy Face
Amount**



Uses of Cash Value Life Insurance (CVLI)

- **Creating large estate/inheritance**
 - Leverage your assets to get \$10+M coverage each
- **LOC / ER fund - Operational Fund**
- **Estate tax payment source** - estate taxes are within 9 months
- **Remove item from estate planning documents**
- **Reducing estate tax**
- **Use living benefits while you are alive**
- **Tax-free retirement income**
- **Permanent Coverages**
- **College funding**
 - If use Cash, lost opportunity, benefits

MUST have both RIGHT design and FUNDING execution !!

Common Concerns

1. IUL has bad reputation!

- a. Rightfully so because salespeople are quick to close the deal and Clients don't fully understand!
- b. Badly designed IULs usually fail in 80+ years old.

2. I already have a solid 401K, 457b, Pension, etc.

- a. Balancing with tax-free vehicles
- b. Diversifying into asset that gives you the benefits:
 - Living benefits, death payout, tax-free distributions, low-cost policy loans

3. Fees are too high

- a. We minimize the fees by minimizing the face amount (Min Death/Max Cash)
- b. Let's compare the savings vehicles: Traditional 401K vs Cash Value Life Insurance

4. My friend, my family, are not sure about IULs

- a. No problem – bring anyone you trust into this conversation
- b. We want fully informed clients who will be confident of their decision in moving forward with the options.

5. I have a 401K to loan against already

- a. That's great you can borrow, however, there are few restrictions:
 - Up to 2 open loans totaling: 50% of balance up to \$50K
 - Cannot distribute before 59 ½ with penalty
 - Must payback within 5 years or charged as income
 - Must payback if you leave the organization, else take as income

6. Dave Ramsey suggests no-debt lifestyle

- a. That message works fine for the general mass – who does not have control over their money

Disability Insurance

Protects income if illness or injury prevents you from working.

- Replaces a portion of income if you're unable to work
- Critical for families reliant on earned income
- Short term and long term options available.
- Cons: Premiums can be high; definitions of "disability" vary; may not cover full income.

Disability insurance ensures your lifestyle continues even if your ability to earn is interrupted.

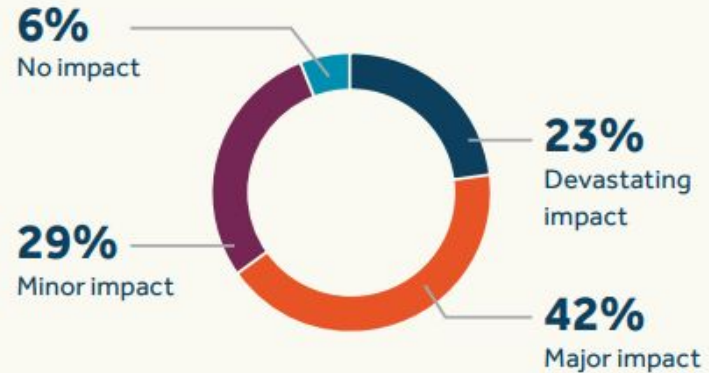


Disability Insurance Cont'

- Average disability insurance payout approximately 60%
-

Financial impact of most recent disability leave

Percentage of workers who agree



65% of workers report that disability leave had a negative impact on their household's finances.

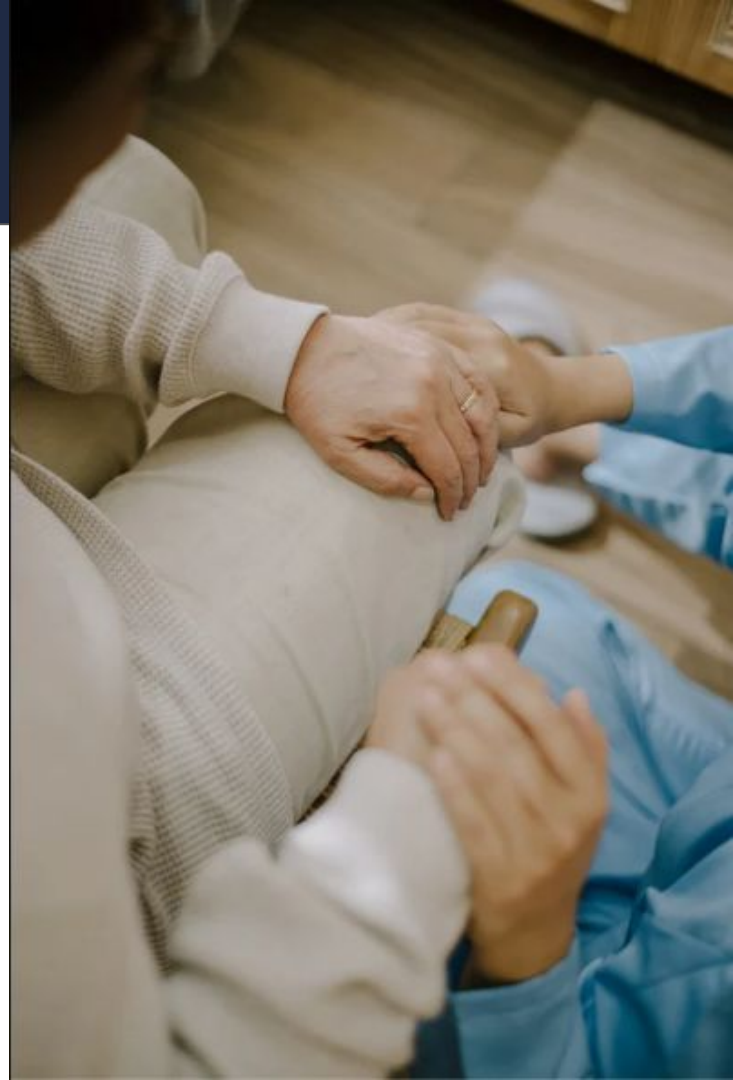
Long-Term Care Protection

Covers costs of extended care needs, protecting retirement savings and family lifestyle.

- Pays for nursing homes, assisted living, or home health care.
- Prevents retirement assets from being depleted by care costs.
- Options include standalone LTC or hybrid life/LTC policies.
- Cons: Premiums can be expensive; underwriting restrictive; benefits may not cover all costs; standard policies are use it or lose it.

Long-term care protection safeguards both your lifestyle and your family's peace of mind in later years.

7 in 10 people age 65+ will develop a long-term-care need in their lifetimes⁴



LTC Qualifications and Considerations

Here's how to qualify for a long-term care policy:

- Generally healthy at the time of application
- No major mobility limitations
- No cognitive impairment (memory issues, dementia, etc.)
- Not currently needing help with daily activities

Typical maximum ages for traditional LTC insurance:

- Most carriers stop accepting new applicants around age 75.
- After age 70, underwriting becomes much stricter and premiums rise sharply.



LTC Case Study - Rick and Sherry

Rick and Sherry have worked hard their entire lives and raised four children, and at ages 68 and 62, respectively, they are looking forward to enjoying retirement. They have mapped out the first 10 years of their retirement and all of the activities they plan to do. According to their plans, Rick and Sherry think they have enough assets to comfortably retire with \$650,000 in total retirement assets:

- \$500,000 of retirement assets 401(k), stocks, bonds, and savings
- \$150,000 fixed annuity
- No debt

However, five years into retirement, Rick starts forgetting things. After multiple doctor visits, he's diagnosed with Alzheimer's Disease. He wishes to avoid being placed in a nursing home. Sherry agrees and with the help of family, friends, and home health aides, Rick lives for another 10 years. Besides the obvious emotional toll on Sherry, the financial toll on her remaining assets was extensive:

- Sherry spent \$580,000 of their retirement assets on in-home health care for Rick.
- Sherry is left with only \$70,000 of their total retirement savings after Rick's health expenses.
- If Sherry, now age 77, lives for an additional 20 years, she faces a difficult situation.



Long-Term Care Average Costs

ANNUAL LONG-TERM CARE <<<<



Genworth Cost of Care Survey 2022



\$61,776

HOME HEALTH AIDE



\$73,216

\$54,000

ASSISTED LIVING FACILITY



\$63,000

\$108,405

PRIVATE ROOM



\$146,000

Health Insurance & Coordination

Choosing the right health insurance policy ensures your family's medical needs are covered while aligning with your financial plan. Pairing coverage with a Health Savings Account (HSA) can add tax-advantaged flexibility

- Policy Selection: Match coverage (deductibles, premiums, networks) to your family's unique situation.
- Integration: Coordinate employer plans, private insurance, and supplemental coverage for gaps.
- HSA Advantage: Contribute pre-tax, grow tax-free, and withdraw tax-free for qualified medical expenses
- Cons: Rising premiums and complex plan options can overwhelm families. HSAs require enrollment in a qualified High-Deductible Health Plan (HDHP). Out-of-pocket costs may be high before deductibles are met.

Coordinated health insurance — supported by the tax benefits of an HSA — protects both your family's health and your financial lifestyle



Insert

- How HSA works
- Hi vs lo deductible
-

Property and Casualty

Protects assets and lifestyle from liability and property risks.

- Home insurance safeguards residence and equity.
- Auto insurance covers liability and vehicle replacement.
- Umbrella policies extend liability protection beyond standard limits.
- Cons: Coverage limits may be insufficient; premiums rise; exclusions can surprise clients.

Property & casualty insurance shields lifestyle assets and prevents financial shocks



Emergency Fund

Provides liquidity buffer for unexpected expenses

- 3–6 months of living expenses recommended.
- Reduces reliance on debt during crises.
- Builds confidence to pursue growth strategies.
- Cons: Opportunity cost of low returns; discipline required to maintain; inflation erodes value.

An emergency fund is the simplest yet most powerful lifestyle safeguard.



Emergency Fund Options - Comparison Table

Option	Growth Potential	Risk Level	Liquidity	Withdrawal Speed	Ideal For
High-Yield Savings (HYSA)	Moderate (3% - 5%)	Very Low	Very High	Instant to 1-2 days (ACH)	Most people; blend of safety + yield
Traditional Bank Savings	Low (0.01% - 0.6%)	Very Low	Very High	Instant	People who want simplicity
Money Market (MMA)	Low to Moderate (2% - 4%)	Very Low	High	Instant to 1-2 Days	Those wanting check-writing privileges
Tax-Free MMA	Low to Moderate (2% - 4%)	Very Low	High	Instant to 1-2 Days	High income earners for tax-free yield
Brokerage	High (8%+)	High	High	1-3 Days (Trade Settlement)	Not recommended for Emergency Funds
Cash Value Life Insurance (WL / IUL)	Low to Moderate (3% - 8%)	Low to Moderate	Medium	3-7 Days (Loan or Withdrawal)	Long-term strategy + Tax-Advantaged

Liability Management

Protects assets from legal and financial threats

- Umbrella policies and asset titling strategies.
- Use of trusts or LLCs for protection.
- Proactive risk assessment for professionals/business owners.
- Cons: Legal complexity; costs of structuring; not foolproof against all claims.

Liability management ensures your lifestyle isn't jeopardized by external risks.



Insert

- Case study of not having a trust
-

Lifestyle Budgeting & Cash Flow Mgmt

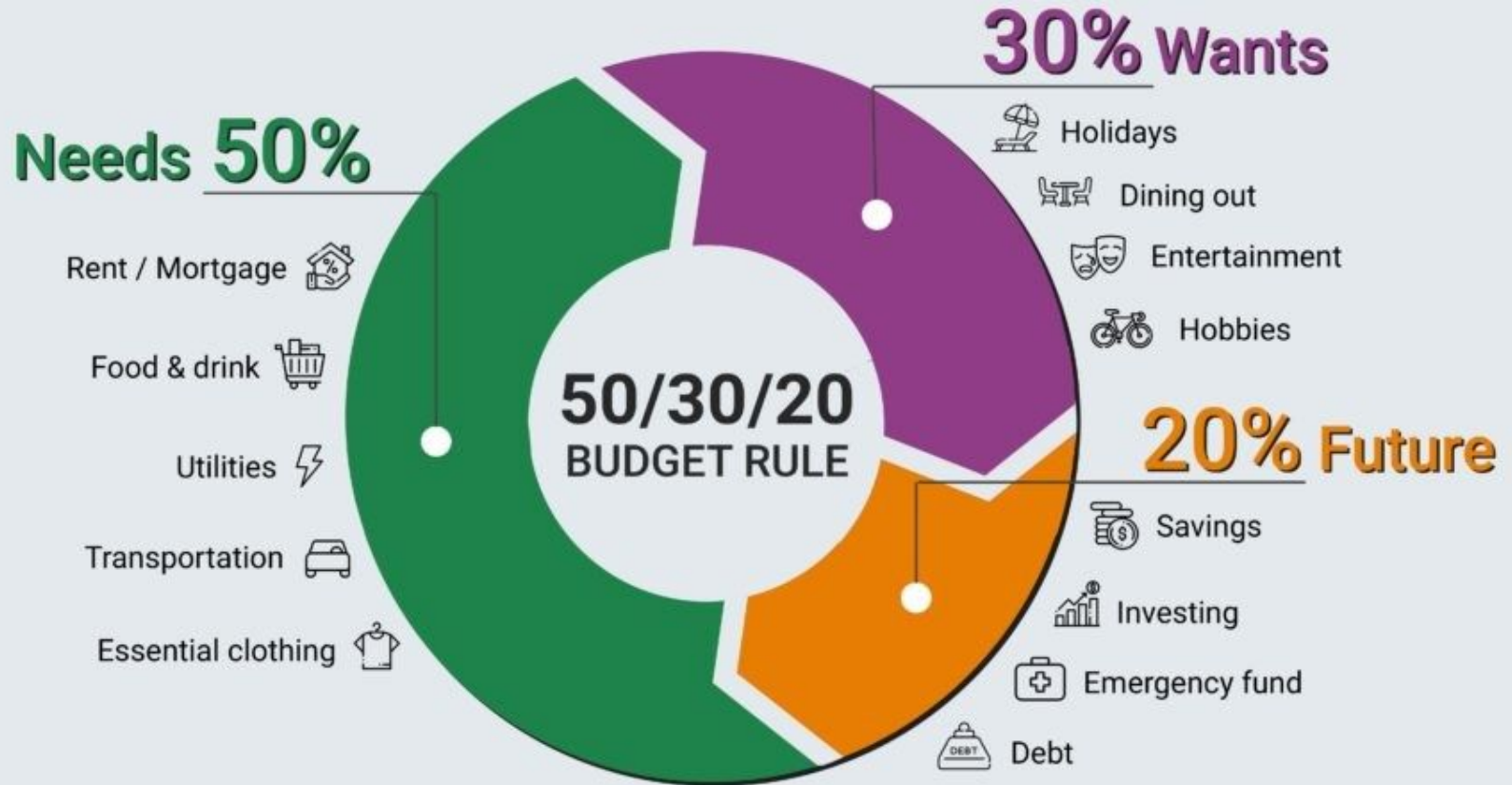
Aligns spending and saving with family priorities.

- Creates clarity on income vs. expenses.
- Identifies opportunities for savings and debt reduction.
- Builds discipline for long-term goals.
- Cons: Requires ongoing tracking; lifestyle creep can undermine progress; emotional resistance to budgeting.

Cash flow management is the foundation of financial confidence and lifestyle sustainability.



50 - 30 - 20 Rule



Guardianship Planning

Ensures children and dependents are cared for if parents are incapacitated.

- Legal guardianship documents integrated with wills and trusts.
- Provides clarity and peace of mind for families with minors.
- Protects dependents from uncertainty in emergencies.
- Cons: Emotional difficulty in decision-making; requires legal coordination; must be updated as family changes.

Guardianship planning protects the most important lifestyle asset — your family.



Insert

- POA
- Healthcare proxy
- Etc..
-

College Savings Planning

Secures education funding without disrupting household finances

- 529 plans and Coverdell ESAs for tax-advantaged savings.
- Aligns with family values and lifestyle priorities.
- Reduces reliance on debt for education.
- Cons: Funds restricted to education; market risk in savings vehicles; tuition costs can outpace savings.

College planning is both a lifestyle safeguard and a legacy investment in the next generation.



College Savings Plan

Open up a Secured Compound Interest Account for _____

- Invest \$350 a month / \$4,200 a year until _____ is 18 years old
- When _____ starts college at A18, the account value is at ~\$106,299
- Growth is assuming a 5.73% hypothetical based on S&P 500 index (average return is 6-8% in the last 15-20 years)
- From A18-A21, take out roughly \$20k a year to cover education expenses ie. room, board, credits, etc..
- After _____ finishes school, _____ can continue to fund this Secured Compound Interest Account to double as her retirement and life insurance plan.

Benefits:

- Pays 100% of college costs
- In the event of full scholarship, can access money penalty-free and tax-free
- Death Benefit: \$493k
- Growth is tax-free from income and capital gains
- Living Benefit Protection
- Market volatility security

Saving for College (Goal \$100,000)

Assuming 8% annual growth, goal at age 18

Child's Current Age	Years to Save	Monthly Savings Needed	Total Contributions	Growth Earned
0	18 years	\$260/mo	~\$56,000	~\$44,000
5	13 years	\$420/mo	~\$65,000	~\$35,000
10	8 years	\$760/mo	~\$73,000	~\$27,000
15	3 years	\$2,350/mo	~\$85,000	~\$15,000



Comparison between 529 & IUL

State 529 College Plan

- Distributions are considered withdrawals
- Tax-Free for education purposes
- Interest tax-free (education purposes only)
- No income restrictions
- No contribution limit
- Contributions are post taxed
- Taxes and penalties incurred when using money for non-education purposes
- Account value does not impede chances at qualifying for financial aid / FAFSA or Grants
- Can be invested into mutual funds, bonds, indexes, stocks, etc..
- Market Risk with High Regulation.
- Investment expense costs. No explosion of wealth and no protection
- Funds can be transferred to another beneficiary

Equity Indexed Universal Life

- Money can be pulled via policy loans
- Tax-Free distribution for anything
- Interest tax-free
- No income restrictions
- Contribution limit defined by Face Amount
- Contributions are post taxed
- Taxes can be avoided by following MEC guidelines. Surrender fees are applicable
- Account value does not impede chances at qualifying for financial aid / FAFSA or Grants
- Money is invested by the insurance company into selected index strategy
- Low Risk – Moderate to High Return. 0% Floor, choice between cap or non-cap
- Policy expenses, explosion of wealth and protection
- Funds can be used to child's retirement or other major purchases in the future (car payment, down payment on home, engagement ring, wedding costs, etc...), no taxes or penalties



Real Estate

Anchors lifestyle and builds equity.

- Mortgage strategy (refinancing, payoff, downsizing).
- Equity protection through insurance and titling.
- Real estate as both lifestyle and financial asset.
- Cons: Illiquid asset; market volatility; maintenance costs.

Real estate is often the largest lifestyle investment — managing it wisely protects family stability.



Insert

- Pay out early vs on time
- Interest saving
- Mortgage calculators

East: Growth & Tax Optimization



Positioning your resources to grow efficiently while minimizing unnecessary drag.

- Helps wealth keep pace with goals and opportunities.
- Balances growth with smart tax awareness.
- **Risks/Cautions:** Market volatility, tax inefficiencies, or chasing returns without strategy can erode progress.

Growth is most powerful when it's intentional, efficient, and resilient.

Tax Diversification

Tax diversification spreads assets across different account types to reduce lifetime tax exposure and increase flexibility

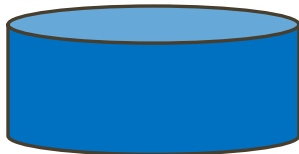
- Roth accounts → tax-free growth and withdrawals.
- Traditional accounts → tax-deferred growth, taxable later.
- Brokerage accounts → flexible access, capital gains treatment, step-up in basis at death.
- Cons: Contribution limits, ongoing monitoring required, and future tax law changes may alter benefits

Diversifying across tax buckets ensures control over income and taxes, no matter how rates evolve.



TAXABLE

Mutual Funds
Interest Income
CDs
Stocks
Rental Income
Social Security



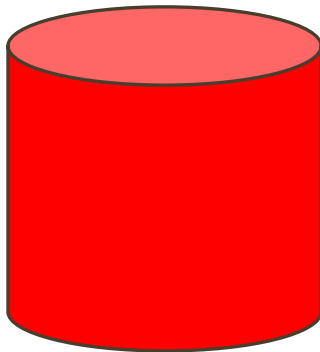
TAX EXEMPTS

Municipal Bonds



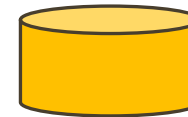
TAX DEFERRED

Traditional 401K
Traditional IRA
SEP-IRA
Profit-Sharing
Solo 401K
Pension
Trad Annuity



TAX FREE

Roth IRA
HSA
Roth Annuity



Historical Tax Rate Analysis

Reviewing past tax rates helps identify planning opportunities and anticipate future changes.

- Provides context for Roth conversions and bracket management.
- Highlights windows of lower tax rates for proactive moves.
- Educates clients on long-term tax trends.
- Cons: Past rates don't guarantee future outcomes, data can overwhelm, and requires advisor interpretation.

Understanding tax history builds confidence in proactive tax planning decisions.



Historical Federal Tax Rates

Top Federal Tax Rates



Tax-Efficient Investment Vehicles

Tax-efficient investments minimize tax drag while growing wealth.

- Municipal bonds provide tax-free interest.
- ETFs reduce taxable events through low turnover.
- Annuities allow tax-deferred growth.
- Cons: Lower yields, complexity in annuities, and limited investment options compared to taxable accounts.

Tax-efficient vehicles keep more of your returns working for you instead of going to taxes.



Roth Conversions

Roth conversions move assets from tax-deferred to tax-free accounts for long-term benefit.

- Reduce future Required Minimum Distributions (RMDs).
- Create tax-free retirement income.
- Lock in today's tax rates.
- Cons: Immediate tax bill, timing is critical, and future law changes may alter benefits

Roth conversions bridge tax optimization and retirement confidence by creating tax-free income streams.



Capital Gains & Tax-Loss Harvesting

Managing gains and losses reduces taxes and improves portfolio efficiency

- Harvest losses to offset gains and reduce taxable income.
- Time asset sales to align with favorable tax brackets.
- Use long-term capital gains rates for efficiency
- Cons: Requires active monitoring, wash-sale rules limit flexibility, and market timing risk.

Smart capital gains and loss management keeps taxes low while maintaining portfolio health.



Defined Benefit and Contribution Plans

Employer-sponsored plans provide tax-advantaged savings and retirement security.

- Defined Benefit Plans offer guaranteed income and tax deductions.
- 401(k), SEP, and SIMPLE IRAs allow tax-deferred growth.
- Employer contributions enhance savings power.
- Cons: Contribution limits, plan complexity, and penalties for early withdrawals.

Leveraging retirement accounts maximizes tax benefits while building long-term security.



2025

CONTRIBUTION LIMITS



IRA

\$7,000



401K

\$23,500



SEP-IRA

\$70,000



QDBP

\$150k-\$300k+



Charitable Giving Strategies

Charitable giving reduces taxes while supporting causes you value.

- Donor-advised funds provide immediate deductions and flexible grants.
- Charitable remainder trusts combine philanthropy with income.
- Gifts reduce taxable estate and align with family values.
- Cons: Complex rules, reduced personal control, and potential family dynamics.

Charitable giving creates impact today while reducing taxes and shaping your legacy.



Entity Structuring for Tax Efficiency

Entity structuring uses business and ownership models to reduce taxes and protect assets.

- LLCs and S-Corps can shift income and reduce self-employment taxes.
- Partnerships and FLPs allow income splitting and estate planning benefits.
- Proper structuring aligns liability protection with tax optimization.
- Cons: Complex legal setup, ongoing compliance requirements, and potential IRS scrutiny if misused.

Thoughtful entity structuring ensures your business and investments are positioned for both efficiency and protection



S Corporation



ABC Inc an S corp

Earns a profit worth
\$10 million



3 Shareholders



20%



30%



50%

Reports the profit to IRS at individual
shareholder level

C Corp Advantages & Disadvantages

No Ownership
Restrictions

Lower Maximum
Tax Rate

Flexibility in
Raising Capital

Easier to Form

Charitable
Contribution
Deduction

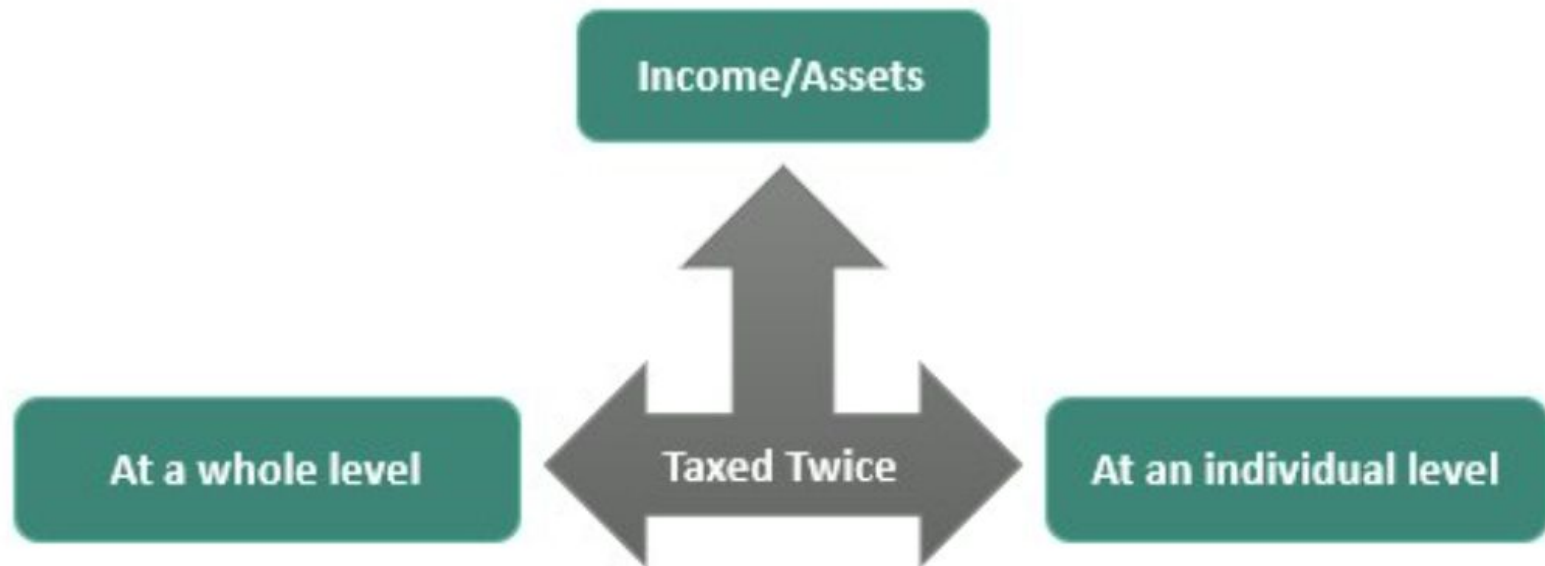
Advantages

Disadvantages

Double Taxation

No Personal
Write-Offs

What Is Double Taxation?



C-Corporate double-tax

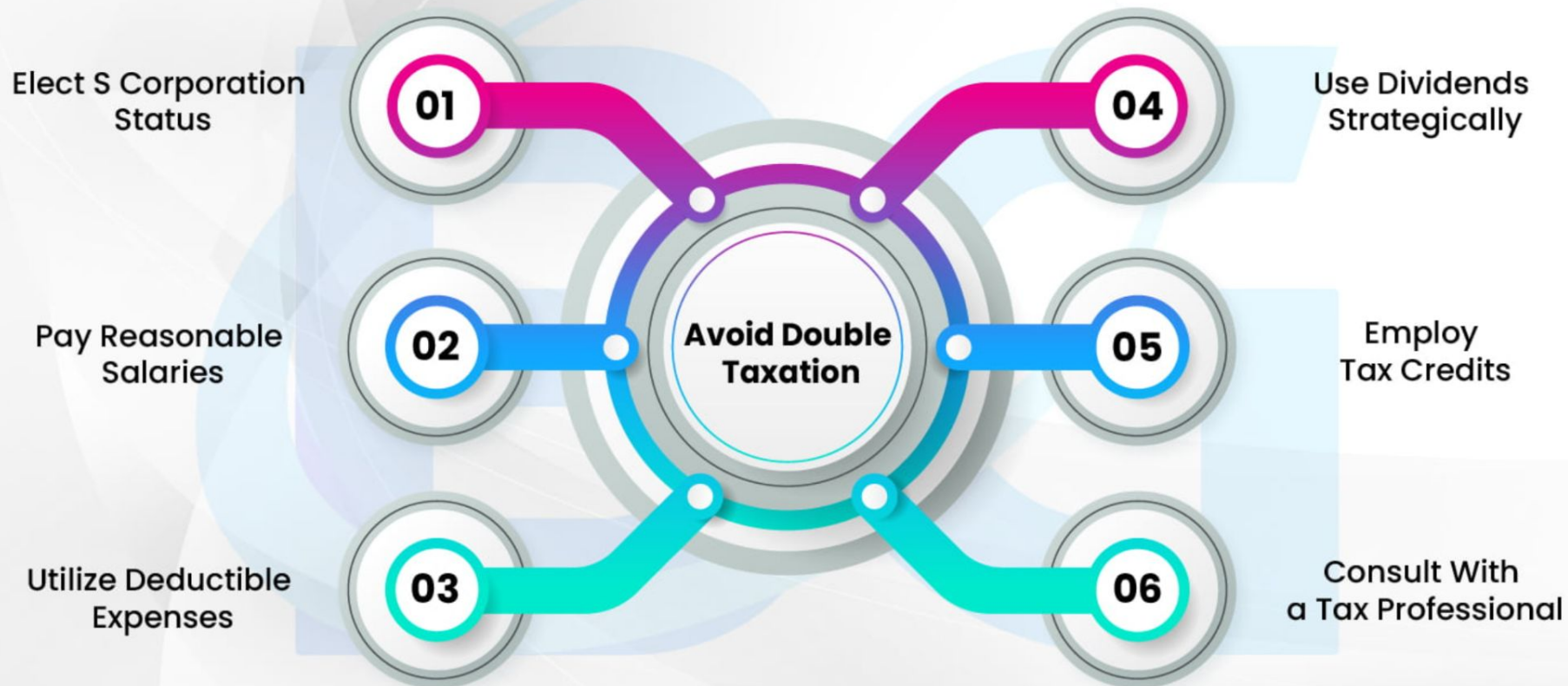
Corporation	
Taxable income =	\$100,000
Less tax =	<u>\$ 22,250</u>
Cash after taxes =	\$ 77,750



Cash dividends to owner

Owner	
Owner gets	\$77,750
Less 15% dividends tax rate =	<u>\$11,168</u>
Cash after taxes =	\$66,582

How To Avoid **Double Taxation** C Corp



Tax-Aware Withdrawal Sequencing

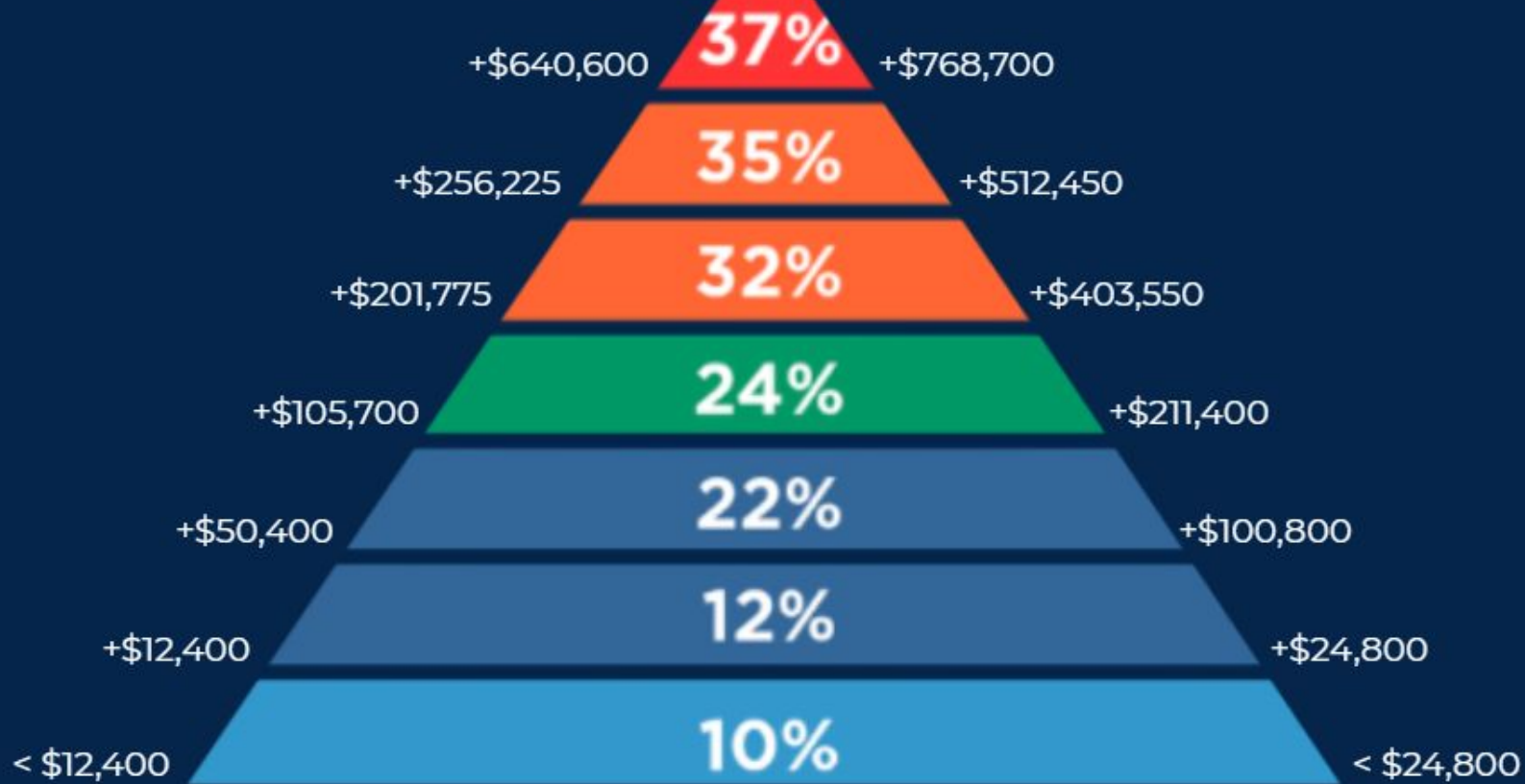
Coordinating withdrawals across accounts minimizes lifetime taxes.

- Sequence taxable, tax-deferred, and Roth withdrawals strategically.
- Smooth income to avoid spikes into higher brackets.
- Extend portfolio longevity by reducing tax drag.
- Cons: Requires ongoing monitoring, complex coordination, and assumptions about future tax rates.

Withdrawal sequencing ensures retirement income is both sustainable and tax-efficient



SINGLE MARRIED



2026 Federal Tax Brackets

Tax Brackets for 2026

Taxable income (i.e., income minus deductions and credits) between:

Married, Joint & Surviving Spouses

Taxable income	Marginal Tax Rates
\$0 – \$23,600	10%
\$23,601 – \$94,600	12%
\$94,601 – \$191,200	22%
\$191,201 – \$231,450	24%
\$231,451 – \$578,100	32%
\$578,101 – \$893,750	35%
Over \$893,750	39.6%
Capital gains/qualified dividends	
\$0 – \$94,600	0%
\$94,601 – \$583,750	15%
Over \$583,750	20%

Single

\$0 – \$11,800	10%
\$11,801 – \$47,300	12%
\$47,301 – \$95,600	22%
\$95,601 – \$115,725	24%
\$115,726 – \$289,050	32%
\$289,051 – \$578,125	35%
Over \$578,125	39.6%
Capital gains/qualified dividends	
\$0 – \$47,300	0%
\$47,301 – \$518,900	15%
Over \$518,900	20%

Married, Separate

\$0 – \$11,800	10%
\$11,801 – \$47,300	12%
\$47,301 – \$95,600	22%
\$95,601 – \$115,725	24%
\$115,726 – \$289,050	32%
\$289,051 – \$346,875	35%
Over \$346,875	39.6%
Capital gains/qualified dividends	
\$0 – \$47,300	0%
\$47,301 – \$291,850	15%
Over \$291,850	20%

Head of Household

\$0 – \$17,700	10%
\$17,701 – \$63,000	12%
\$63,001 – \$99,350	22%
\$99,351 – \$122,500	24%
\$122,501 – \$289,050	32%
\$289,051 – \$578,100	35%
Over \$578,100	39.6%
Capital gains/qualified dividends	
\$0 – \$63,000	0%
\$63,001 – \$551,350	15%
Over \$551,350	20%

Estates and Trusts

\$0 – \$3,100	10%
\$3,101 – \$11,150	24%
\$11,151 – \$51,450	35%
Over \$51,450	37%
Capital gains/qualified dividends	
\$0 – \$3,100	0%
\$3,101 – \$15,450	15%
Over \$15,450	20%

Head of Household

Capital gains/qualified dividends	21%
-----------------------------------	-----

Standard Deduction

Married, joint	\$30,000
Single; married, separate	\$15,000
HOH	\$22,000
Blind or over 65; add \$1,500 if married, \$1,850 if single or HOH	

Mortgage Interest Deduction

On acquisition indebtedness up to \$750,000 for 1st and 2nd homes
Beginning in 2026, Private Mortgage Insurance (PMI) will also be treated as deductible mortgage interest.

No deduction for home equity indebtedness

State and Local Tax Deduction Limit

State and local income and property tax deduction.	\$40,000
If married filing separately.	\$20,000

Alternative Minimum Tax Exemption Amount

Married, joint	\$139,700
Single, HOH	\$90,800
Estates and Trusts	\$31,500
Married, separate	\$69,850

IRA and Pension Plan Limits

IRA contribution	
Under age 50	\$7,500
Age 50 and over	\$8,000

Phaseout for deducting IRA contribution

Married, joint	\$129,000 – \$149,000 MAGI
Single, HOH	\$81,000 – \$91,000 MAGI
Married, separate	\$0 – \$10,000 MAGI
Phaseout for deducting spousal IRA	\$242,000 – \$252,000 MAGI

Phaseout of Roth contribution eligibility

Married, joint	\$242,000 – \$252,000 MAGI
Single, HOH	\$153,000 – \$168,000 MAGI
Married, separate	\$0 – \$10,000 MAGI

SEP contribution

Up to 25% of compensation, limit	\$72,000
Compensation to participate in SEP SIMPLE elective deferral	\$750
Under age 50	\$17,000
Age 50 and over	\$20,500

401(k), 403(b), 457, and SARSEP elective deferral

Under age 50	\$24,500
Age 50 and over	\$32,500
Annual defined contribution limit	\$78,000
Annual defined benefit limit	\$290,000
Highly compensated employee	\$156,000
Key Employee in top heavy plans	\$220,000
Annual Compensation taken into account for qualified plans	\$350,000

Retirement Tax Credit: A percent tax credit (10–50%) for an IRA, 401(k), 403(b) or 457 plan contribution, in addition to deduction or exclusion, if

Married, joint	Below \$81,500
HOH	Below \$61,125
Single, separate	Below \$40,750

Maximum qualified longevity annuity contract (QLAC) premium

Qualified Charitable Distribution Limit	\$110,000
---	-----------

Gift and Estate Tax

Gift tax annual exclusion	\$19,000
Estate and gift tax rate	40%
Unified estate & gift/GST exemption	\$13,990,000
Annual exclusion for gifts to noncitizen spouse	\$190,000

Additional Medicare Tax on Income Exceeding \$200,000 (\$250,000 married, joint; \$125,000 married, separate)

Additional tax on excess of earned income	0.9%
Additional tax on Net Investment Income	3.8%

Health Care

Health Savings Account contribution limits

Self-only coverage	\$4,400
Family coverage	\$8,750
Age 55 and over	\$5,400

Eligible Long-Term Care Deduction Limit

Age 40 or less	\$490
Age 41 to 50	\$920
Age 51 to 60	\$1,840
Age 61 to 70	\$4,910
Age 70 and over	\$6,140

Per Diem Limitation for LTC Benefits

	\$420
--	-------

199A Qualified Business Income Deduction Phaseout

Married Filing Jointly	\$401,000 – \$501,000
All others	\$200,500 – \$250,500



Ready to put these numbers to work?

Tax laws and retirement limits change every year, and the right strategy depends on your unique goals.

Contact Pinnacle Planning to schedule a conversation and see how these 2026 updates fit into your retirement, estate, and business planning strategies.

714.494.8515

office@mmwealthassociates.com

More at [MMWAVE](#)

Information contained herein is current as of 11/1/25, general in nature, provided for educational and informational purposes only, and subject to legislative or regulatory changes; it is not intended to be, nor should it be construed as, legal or tax advice—individuals should consult a qualified tax advisor regarding their specific circumstances. Pinnacle Planning, a division of MMW Wealth Associates, does not provide tax or legal advice, and annuity and life insurance products offered through Pinnacle Planning are not bank deposits or obligations, are not guaranteed by any financial institution, are not insured by the FDIC, NCUA, or any other federal entity, and involve investment risk including possible loss of principal and interest, with payment of benefits under any contract being the obligation of, and guaranteed solely by, the issuing insurance company, available only in jurisdictions where the company is properly licensed.

Portfolio Rebalc. with Tax Impact

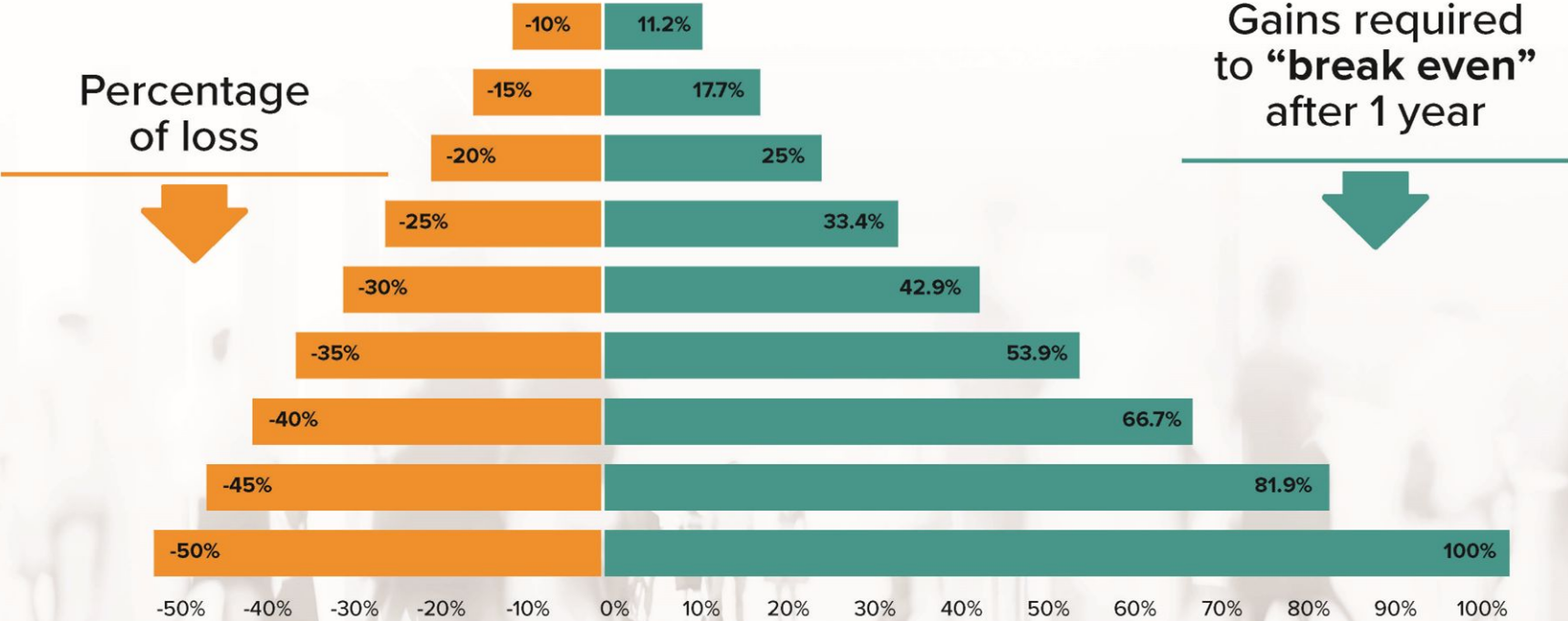
Rebalancing investments maintains risk levels while managing tax consequences.

- Keeps portfolio aligned with goals and risk tolerance.
- Uses tax-advantaged accounts for trades to minimize taxable events.
- Coordinates rebalancing with loss harvesting for efficiency
- Cons: May trigger taxable gains, requires discipline, and can be complex across multiple accounts

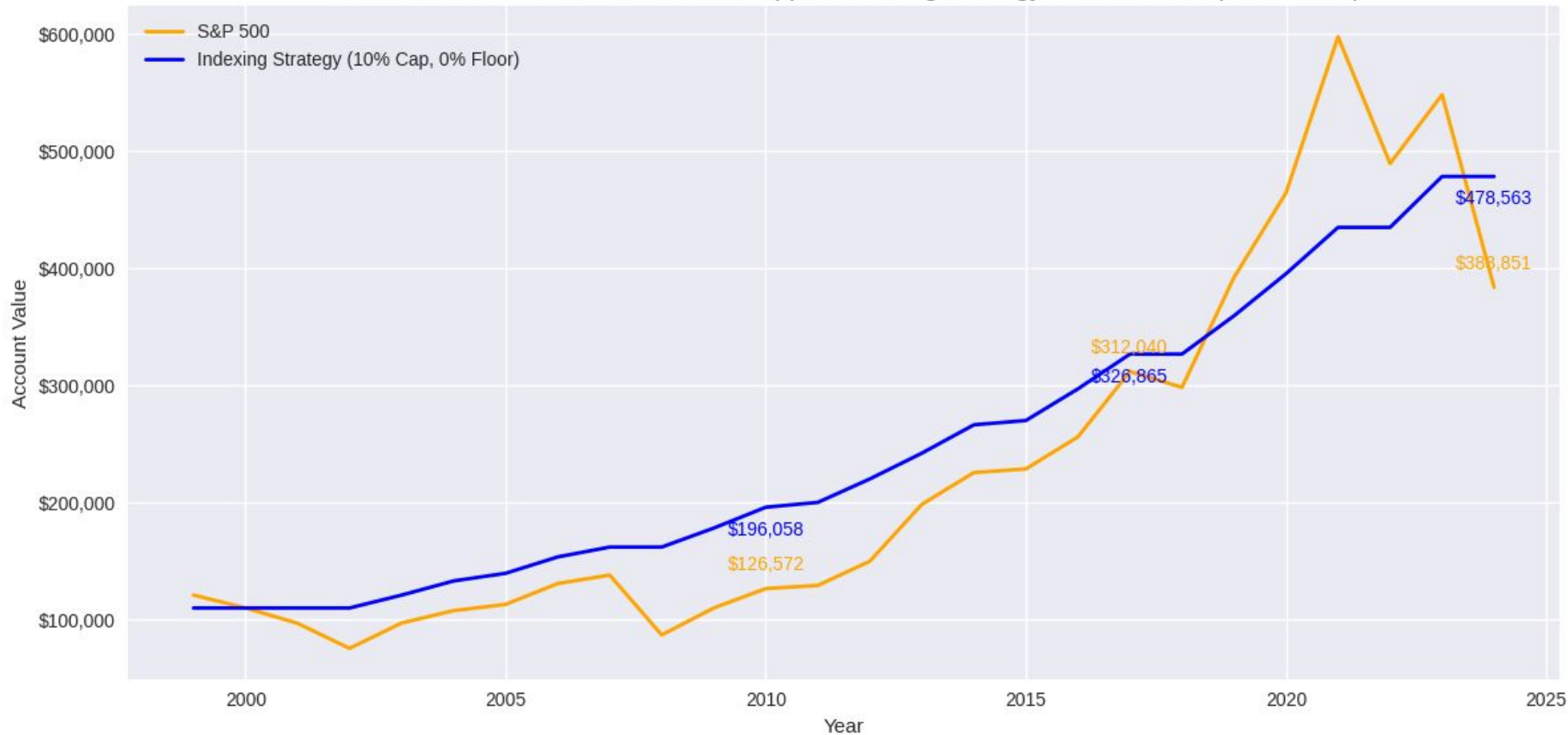
Tax-aware rebalancing preserves portfolio health while keeping taxes under control.

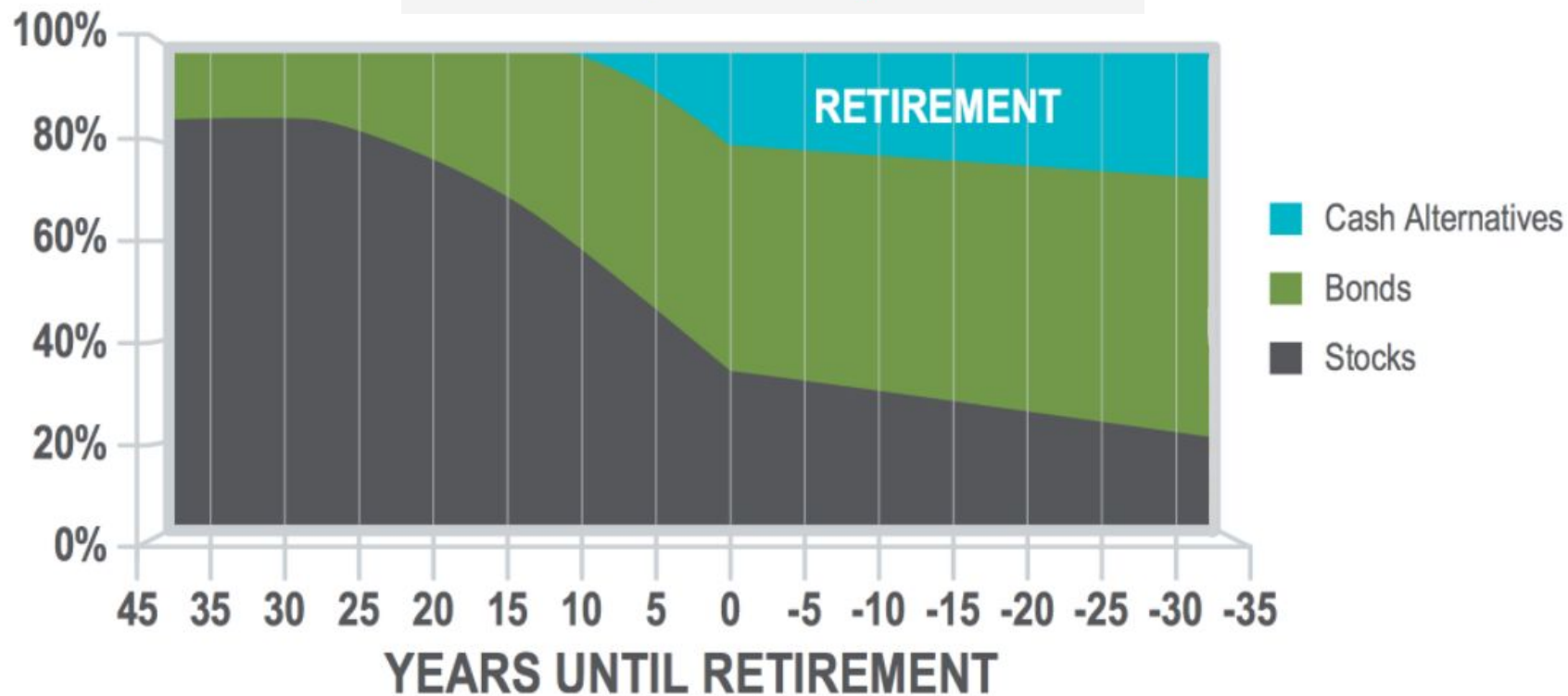
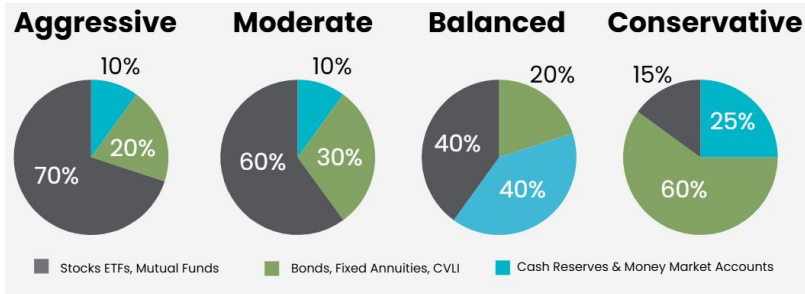


BREAK-EVEN BURDEN AFTER MARKET LOSS



\$100,000 Growth: S&P 500 vs 10% Capped Indexing Strategy with 0% Floor (1999–2025)





NORTH: Retirement Confidence



Turning your savings into sustainable income for your years ahead.

- Provides clarity on how today's choices shape tomorrow's lifestyle.
- Ensures income lasts as long as you do.
- **Risks/Cautions:** Longevity risk, inflation, or overspending can undermine retirement security.

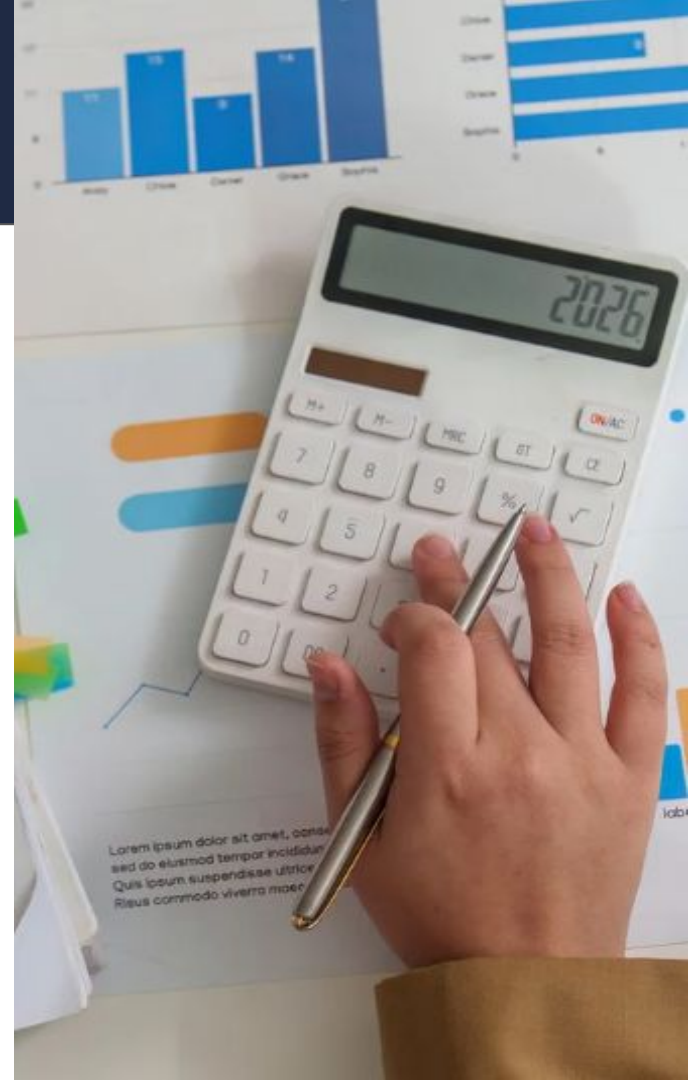
Confidence in retirement comes from knowing your income will endure as long as you do.

Income Planning & Distribution

Retirement income planning ensures reliable cash flow to support your lifestyle throughout retirement.

- Aligns withdrawals with household expenses and lifestyle needs.
- Balances growth and safety across accounts to sustain income.
- Incorporates pensions, Social Security, and investment distributions into one plan.
- Cons: Requires ongoing adjustments, market volatility impacts sustainability, and assumptions about longevity/inflation may not hold

A clear income and distribution plan turns retirement savings into dependable lifestyle security.



Insert

- Income lab materials
- Future expenses
- Essential expenses, lifestyle expenses, discretionary expenses
- Market volatility - sequence of return risk?

Social Security Optimization

Social Security optimization maximizes lifetime benefits through strategic timing and coordination.

- Delaying benefits increases monthly income and lifetime payout.
- Spousal and survivor strategies enhance household benefits.
- Coordinating Social Security with other retirement assets improves cash flow
- Cons: Complex rules, longevity assumptions may not hold, and political risk of program changes.

Smart Social Security decisions can add significant lifetime income and strengthen retirement confidence



Insert

- Difference between early retirement, full retirement, and deferred retirement
- Will social security run out?
- Legislation around social security?
- 2-1 Workers to Retirees
-

Sustainable Withdrawal Strategies

Withdrawal strategies balance spending and preservation to keep assets intact for decades.

- Guardrails approach adjusts withdrawals based on market performance.
- The 4% rule provides a baseline guideline for safe withdrawals.
- Stress testing accounts for downturns and inflation
- Cons: No one-size-fits-all, inflation erodes purchasing power, and discipline is required.

Sustainable withdrawals protect lifestyle while ensuring retirement assets last.



Insert

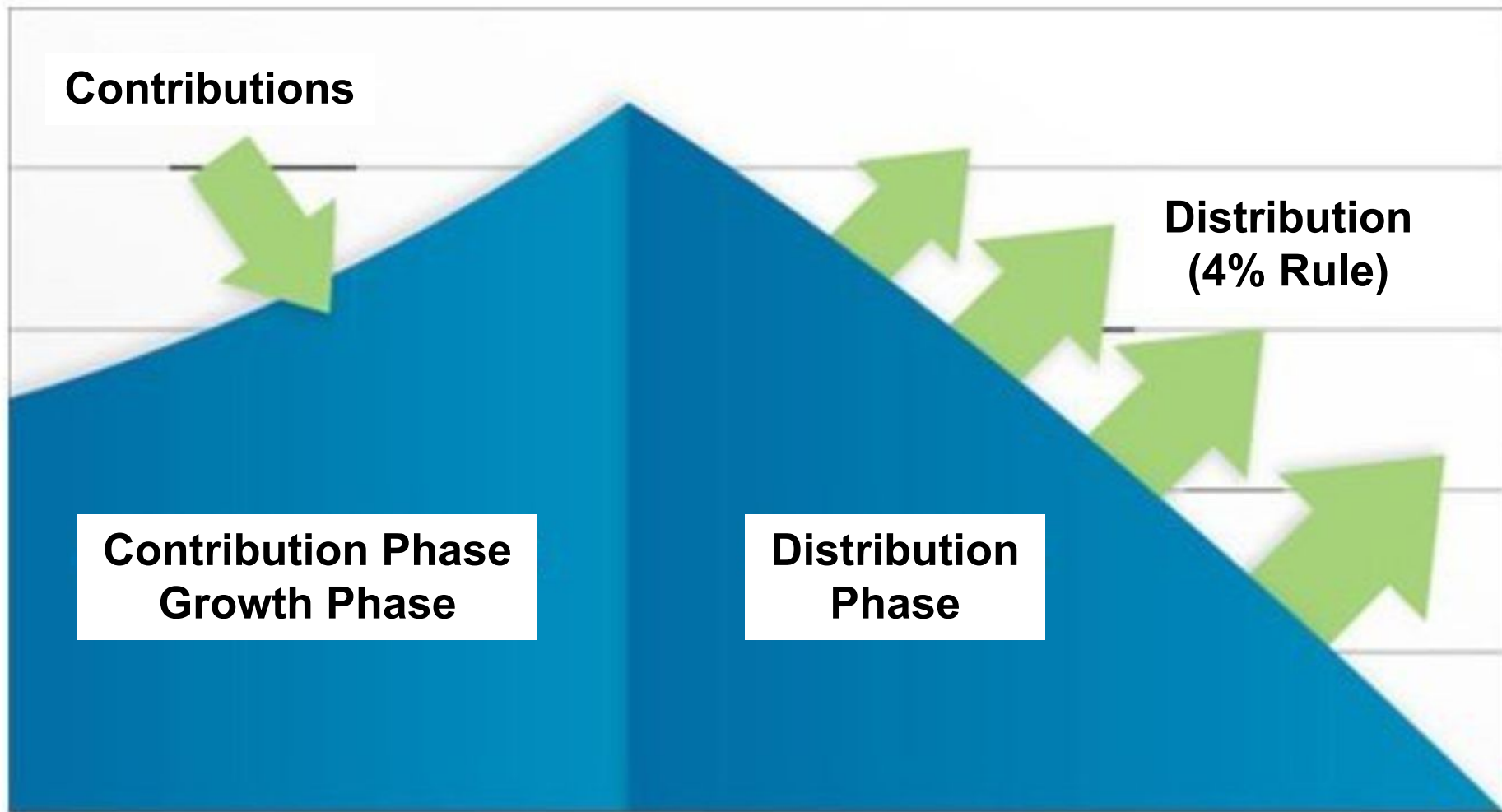
- More about inflation (what it is and how it works)
-
-

Contributions

**Distribution
(4% Rule)**

**Contribution Phase
Growth Phase**

**Distribution
Phase**



Longevity & Inflation Protection

Planning for longevity and inflation shields retirement from two major risks

- Annuities provide guaranteed lifetime income.
- Inflation hedges like TIPS and equities preserve purchasing power.
- Blended strategies balance certainty with growth.
- Cons: Annuities reduce liquidity, inflation hedges may underperform, and trade-offs are required.

Longevity and inflation planning ensures retirement confidence lasts as long as you do.

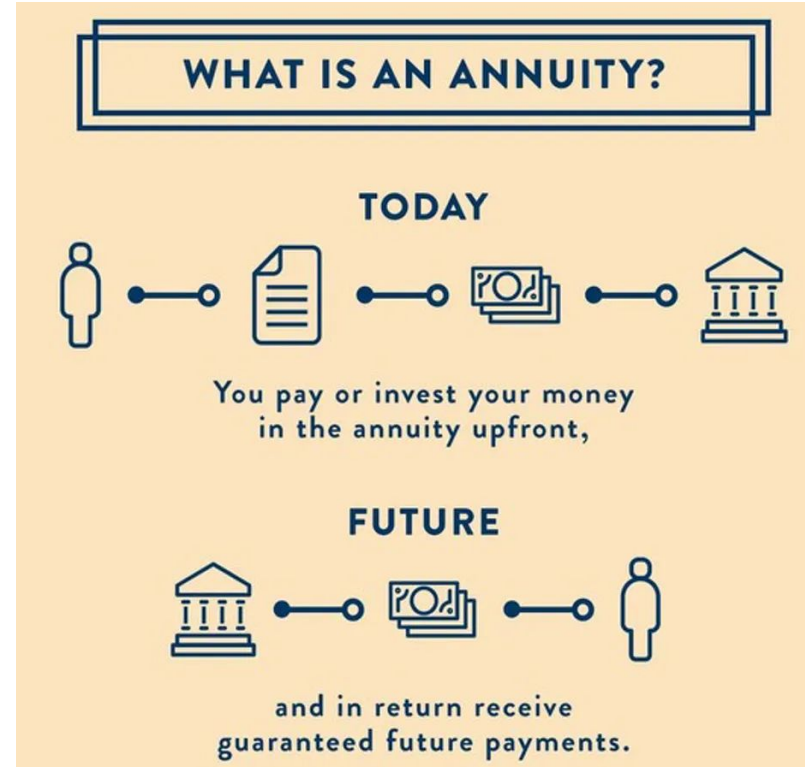


Insert

- What are TIPS
- What are blended strategies
- CDs
-

What is an Annuity?

- **Contract** between you and insurance co.
- You provide a sum of money (lump or series)
- In return, you receive regular disbursements (immediate or deferred)
- Money can continue growing with the money at variable, fixed, or indexed rates.
- **Purpose:** Protect principal and provide steady stream of income
- (Different product from life insurance – although some life insurance products have some annuity aspects)



Types of Annuities & Features

Types of Annuities

FIXED

Pays at a
fixed rate

INDEXED

Pays based
on the value of
an external index

VARIABLE

You actually own
investments inside
the account

Types of Payments

SPIA

Single Pay
Immediate
Annuity

SPDA

Single Pay
Deferred
Annuity

Other Annuities Features/Riders:

Withdrawal Riders

Withdraw up to 10% without penalty

Lifetime Income Rider

Guaranteed Stream of Income for life

Wellness Rider

Receive 2x up to 5 years for chronic illness

Bonuses

Given either upfront or at payout

Pension Planning

Pension planning integrates guaranteed income streams into your overall retirement strategy.

- Analyzes pension payout options (single life, joint & survivor).
- Coordinates pension income with Social Security and investments.
- Provides stability as a foundation for retirement cash flow
- Cons: Limited flexibility, payout decisions are often irrevocable, and inflation can erode fixed benefits

Pension planning ensures guaranteed income is maximized and aligned with your household's retirement needs.



RMD Planning

Required Minimum Distributions (RMDs) are mandatory withdrawals that must be managed to avoid penalties and tax surprises.

- Ensures compliance with IRS rules to avoid steep penalties.
- Coordinates RMDs with other income sources to smooth tax impact.
- Uses strategies like Roth conversions or qualified charitable distributions (QCDs)
- Cons: Rigid rules, potential tax spikes, and reduced flexibility in retirement account management.

RMD planning keeps retirement income compliant and tax-efficient, protecting both lifestyle and assets.

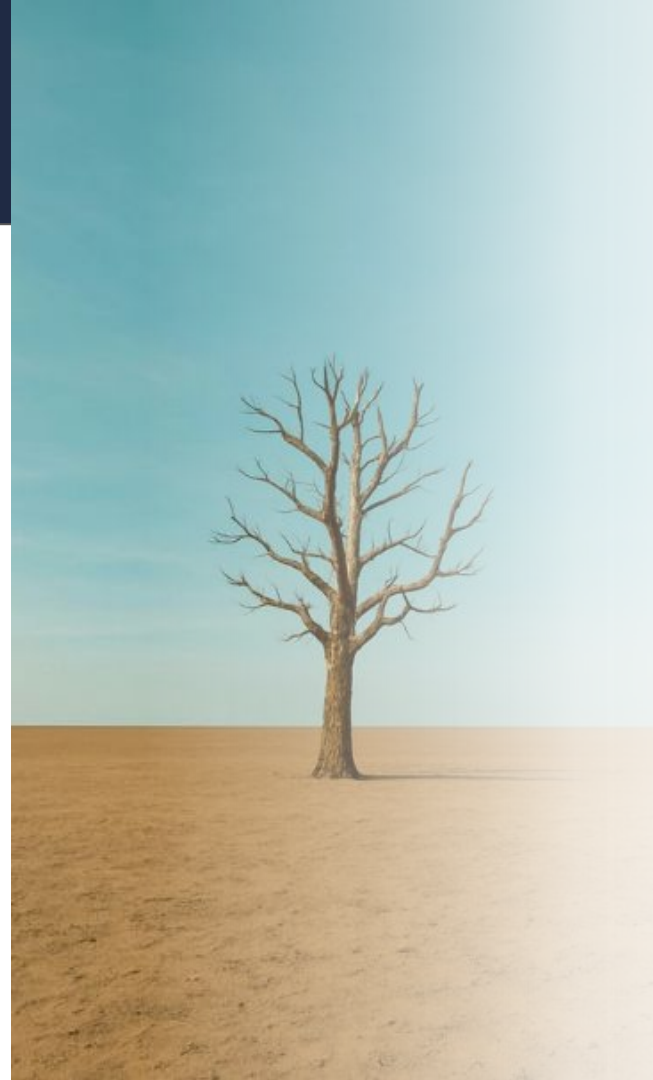


Survivor Benefit Planning

Survivor benefit planning protects household income if one spouse passes away

- Coordinates Social Security survivor benefits.
- Ensures pensions and annuities continue for surviving spouse.
- Aligns estate and insurance planning with retirement needs.
- Cons: Requires complex coordination, survivor benefits may be reduced, and emotional difficulty in planning

Survivor benefit planning ensures retirement confidence continues for both spouses.



Longevity Risk Management

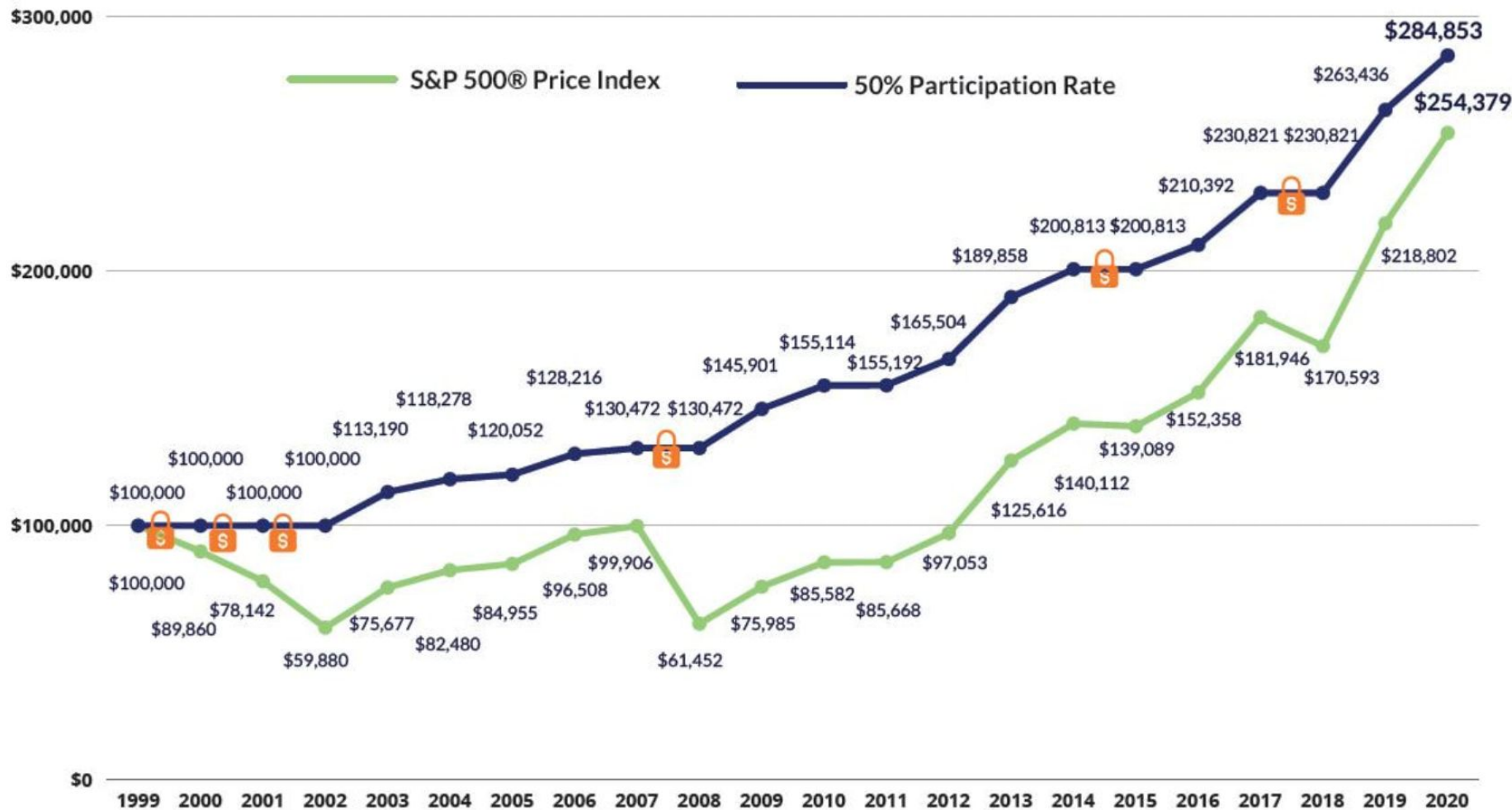
Longevity risk management ensures income lasts as long as you do.

- Annuities provide guaranteed lifetime income.
- Layered income streams reduce reliance on market performance.
- Stress testing accounts for extended lifespans.
- Cons: Annuities reduce liquidity, strategies may limit flexibility, and assumptions about health can be uncertain.

Longevity planning protects against outliving your assets, giving peace of mind for decades.



HOW INDEX ANNUITIES HAVE PERFORMED IN THE LAST DECADE



Inflation Protection

Inflation protection preserves purchasing power throughout retirement

- Treasury Inflation-Protected Securities (TIPS) hedge against rising costs.
- Equities provide long-term growth to offset inflation.
- Blended strategies balance certainty with upside potential.
- Cons: Inflation hedges may underperform, equities carry volatility, and trade-offs reduce simplicity.

Inflation protection ensures your retirement income keeps pace with the cost of living.



Retirement Cash Flow Modeling

Cash flow modeling aligns retirement income with household expenses and goals

- Projects income sources against lifestyle needs.
- Identifies gaps and opportunities for adjustments.
- Provides clarity and confidence in retirement planning
- Cons: Models rely on assumptions, require updates, and may not predict unexpected expenses

Cash flow modeling turns abstract numbers into a clear roadmap for retirement security.



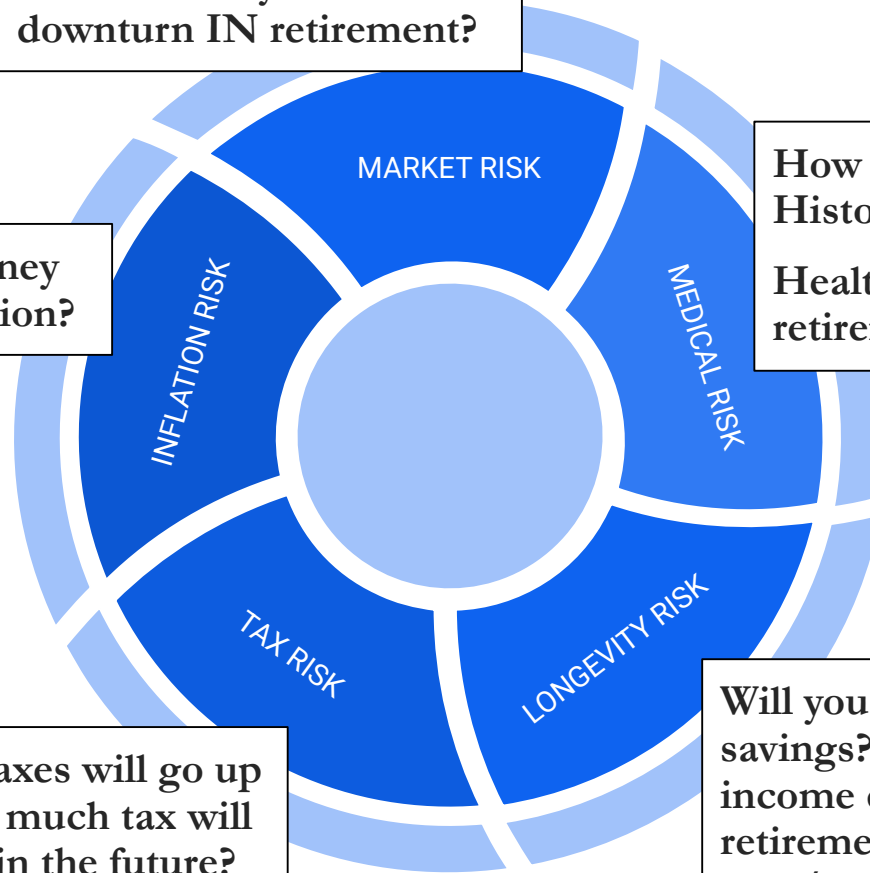
Handle downturns in the market? Can you afford a downturn IN retirement?

**How is your health?
History of dementia?
Healthier early in retirement**

**Does your money
outgrow inflation?**

**Do you think taxes will go up
or down? How much tax will
you be paying in the future?**

**Will you outlive your
savings? How much
income do you want in
retirement? Leave for
kids/charity?**



Bridge Strategies

Bridge strategies provide income before Social Security or pensions begin.

- Use taxable accounts or part-time work to cover early years.
- Delay Social Security for higher lifetime benefits.
- Smooth income to avoid tax spikes.
- Cons: May reduce other savings, requires careful timing, and can increase reliance on market assets.

Bridge strategies create flexibility, allowing you to maximize long-term retirement benefits



Retirement Account Consolidation

Consolidating accounts simplifies management and improves efficiency in retirement.

- Combines multiple 401(k), IRA, and brokerage accounts.
- Streamlines Required Minimum Distributions (RMDs).
- Reduces administrative costs and confusion.
- Cons: Potential loss of unique investment options, rollover mistakes can trigger taxes, and requires careful planning.

Account consolidation makes retirement simpler, clearer, and easier to manage.



WEST: Legacy & Generational Wealth



Extending impact beyond your lifetime to those who matter most.

- Preserves values alongside financial assets.
- Smooths transitions across generations.
- **Risks/Cautions:** Lack of planning, family disputes, or tax burdens can diminish your legacy.

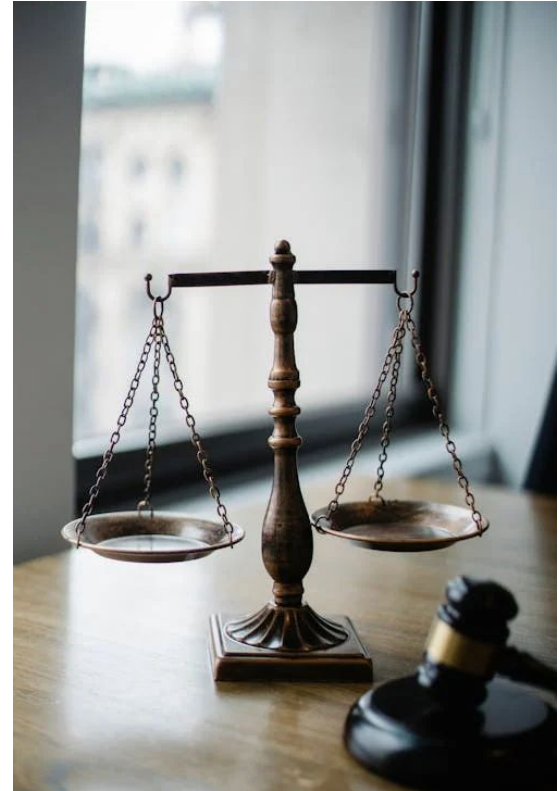
A thoughtful legacy ensures your impact continues long after you're gone.

Wills & Trusts

Wills and trusts establish the legal framework for transferring assets according to your wishes.

- Wills direct asset distribution and guardianship decisions.
- Revocable trusts avoid probate and maintain privacy.
- Irrevocable trusts reduce estate taxes and protect assets
- Cons: Legal costs, need for updates, and irrevocable trusts limit flexibility.

Wills and trusts ensure your legacy is preserved and passed on smoothly.

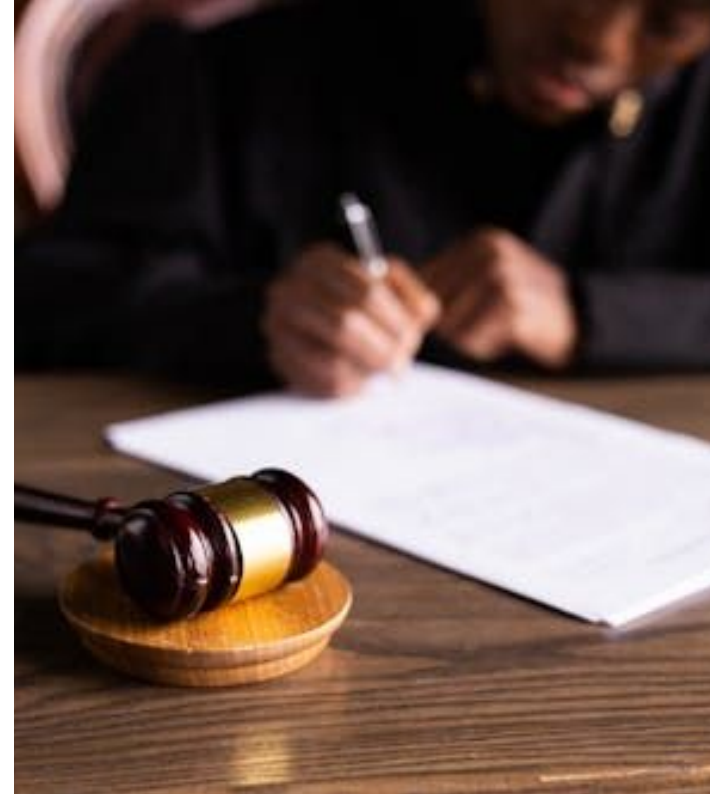


Avoiding Probate

Probate avoidance streamlines estate transfer and reduces costs for heirs.

- Trusts bypass probate court and speed up distribution.
- Beneficiary designations transfer assets directly.
- Joint ownership simplifies transitions
- Cons: Requires careful titling, mistakes can trigger probate, and legal guidance is often needed.

Avoiding probate saves heirs time, money, and stress during a difficult period.



Gifting Strategies

Probate avoidance streamlines estate transfer and reduces costs for heirs.

- Annual exclusion gifts allow tax-free transfers each year.
- Lifetime exemption planning reduces taxable estate.
- Charitable gifts align values with tax benefits
- Cons: Reduces personal control, rules are complex, and family dynamics may be affected.

Thoughtful gifting builds legacy while minimizing estate tax exposure.

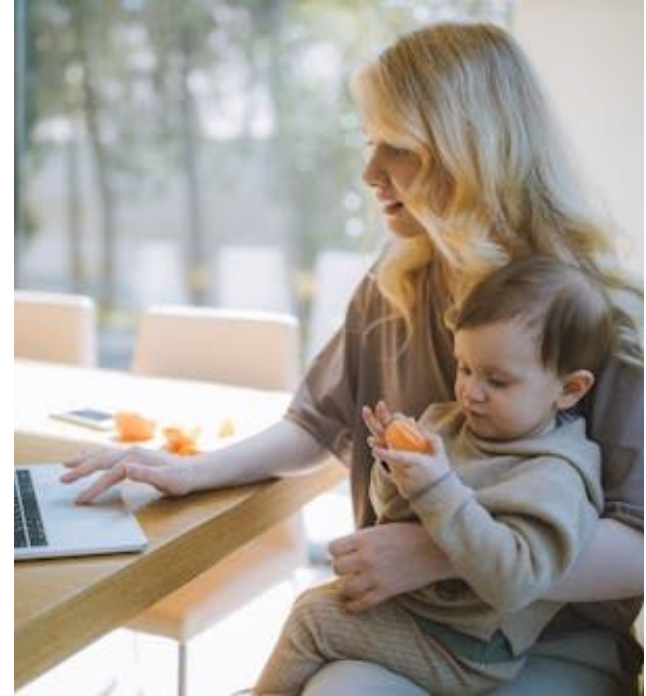


Business Succession Planning

Succession planning ensures continuity of family or closely held businesses.

- Buy-sell agreements protect ownership and liquidity.
- Family limited partnerships structure control and transition.
- Insurance provides funds for smooth ownership changes.
- Cons: Complex legal/financial coordination, family conflict risk, and requires ongoing updates.

Business succession planning preserves both wealth and family harmony across generations.



Estate Tax Mitigation

Estate tax strategies reduce the impact of taxes on wealth transfer.

- Trusts and exemptions lower taxable estate.
- Charitable giving reduces estate size and supports causes.
- Life insurance provides liquidity for estate taxes.
- Cons: Complex rules, requires ongoing monitoring, and strategies may reduce flexibility.

Estate tax mitigation ensures more of your wealth passes to heirs instead of the IRS.



Charitable Trusts & Philanthropy

Charitable trusts combine giving with tax and income benefits

- Charitable remainder trusts provide income while gifting assets.
- Donor-advised funds allow flexible grantmaking.
- Philanthropy aligns legacy with values.
- Cons: Reduced personal control, complex administration, and long-term commitments.

Charitable trusts create impact today while shaping your legacy for tomorrow.



Multi-Generational Wealth Transfer

Multi-generational planning ensures wealth benefits children and grandchildren

- Generation-skipping trusts reduce taxes across generations.
- Family governance structures preserve values and unity.
- Education funding supports future opportunities.
- Cons: Complex legal structures, potential family conflict, and requires ongoing updates.

Multi-generational planning ensures your wealth and values endure across decades.





Generation 1



Generation 2



Generation 2



Generation 3



Generation 3



Generation 3



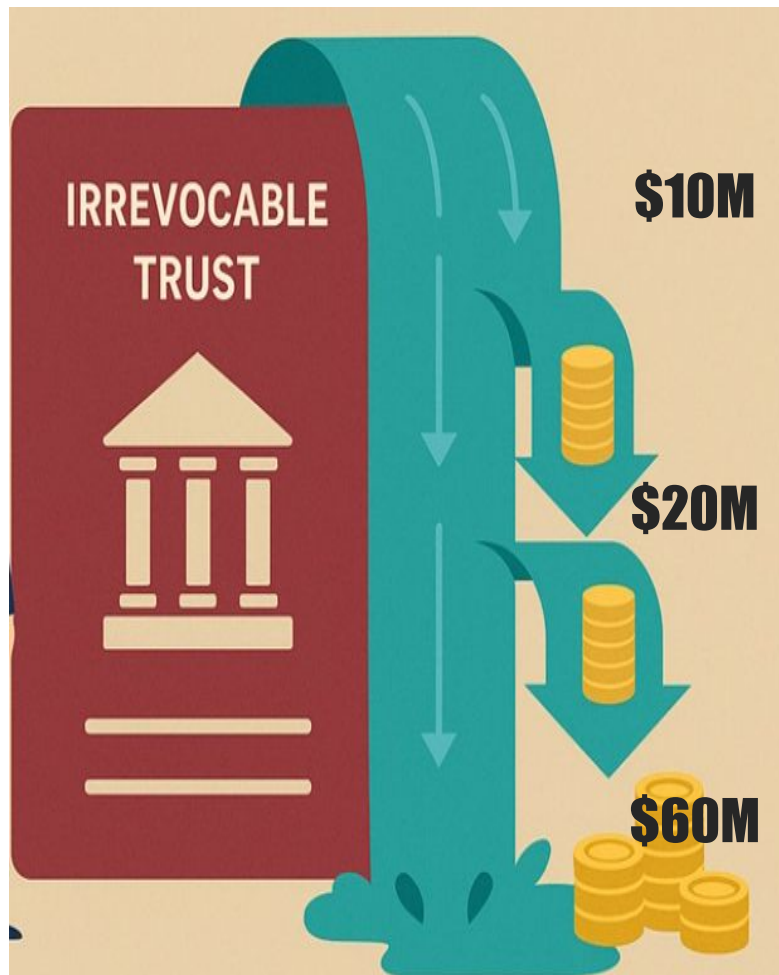
\$5M x 2

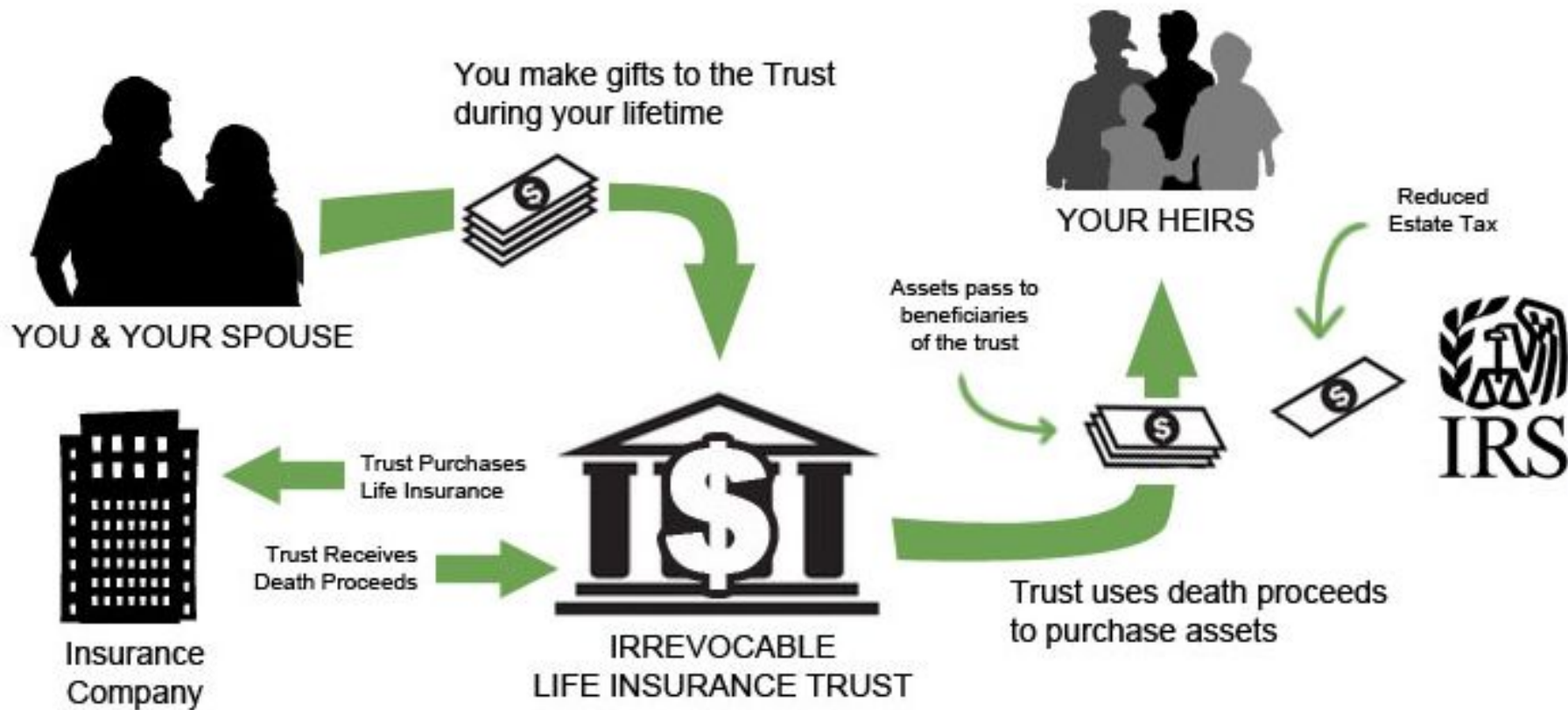


\$5M x 4



\$5M x 6





Special Needs Planning

Special needs trusts protect vulnerable family members while preserving benefits

- Provides financial support without jeopardizing government aid.
- Ensures long-term care and stability.
- Customizable to family circumstances.
- Cons: Requires specialized legal expertise, ongoing oversight, and strict compliance.

Special needs planning safeguards loved ones while maintaining essential benefits



Generation-Skipping Transfer Tax Planning

GST planning reduces taxes when wealth is passed directly to grandchildren or later generations.

- Trusts structured to bypass one generation's estate tax.
- Leverages lifetime exemptions for efficiency.
- Preserves more wealth for future heirs.
- Cons: Complex IRS rules, requires precise legal drafting, and limited flexibility once established.

GST planning ensures wealth flows efficiently to future generations without excessive tax erosion.



Family Governance Structures

Family governance creates systems to preserve values and manage wealth across generations.

- Family councils provide structure for decision-making.
- Mission statements align wealth with family values.
- Education programs prepare heirs for stewardship.
- Cons: Requires family buy-in, potential conflict, and ongoing effort to maintain.

Governance structures keep families united and purposeful in managing generational wealth.



Life Insurance for Estate Liquidity

Life insurance provides liquidity to cover estate taxes and equalize inheritances.

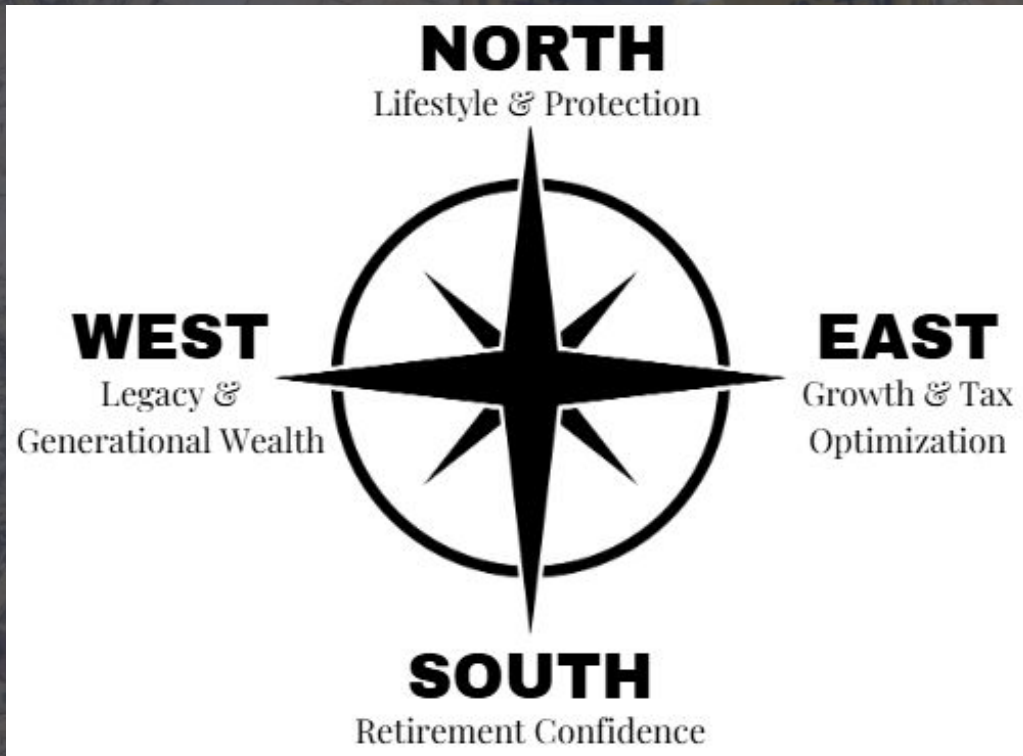
- Ensures heirs don't need to sell assets quickly.
- Provides cash to pay estate taxes.
- Balances inheritances among family members.
- Cons: Premium costs, underwriting requirements, and policy management complexity.

Life insurance ensures estates transfer smoothly without forcing asset sales or creating inequity.



WEALTH NAVIGATOR

We guide families
with clarity and
confidence through
a holistic and
structured path.



NEXT STEPS

Your Action Items:

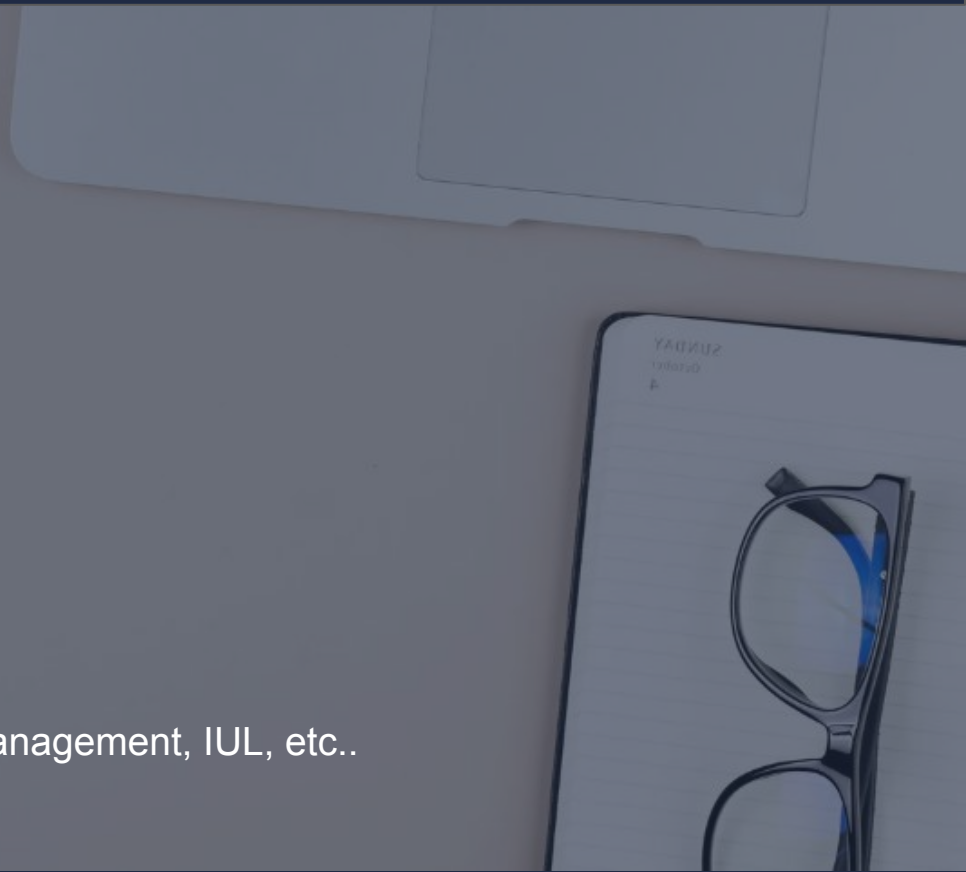
- Fill out application
- Review proposal
- Write up trust and will

M&M Action Items

- Send recap
- Send illustrations
- Connect with Bob

Next Meeting

- Schedule
- Our next talking points: discuss portfolio management, IUL, etc..
-



We appreciate your trust and we thank you for your time.

Our goal is to continue expanding, educating, and servicing our community. If you see the value that we bring, please ask us how you can partner or support M&M Wealth Associates.



A blurred background image of a business meeting. In the foreground, a person's hand points at a laptop screen displaying a bar and line chart. Another person's hand is visible on the right, holding a pen over a calculator. The scene is dimly lit, with a blue overlay.

APPENDIX

Miscellaneous Resources and Artifacts

Certified Retirement Counselor ®



**Shares Advice on Investment Strategies,
Retirement Income Planning, and Estate Planning**



**Offers Guidance on Maximizing Retirement Savings
Despite Tax Implications**



**Provides Clients With Tools to Help Them Make Informed Decisions
About Their Retirement**

THE BIG FOUR WEALTH KILLERS







STOCK MARKET CRASH

Critical Illness can affect any one at any time



**1 in 4 men and 1 in 5 women is affected by
critical illness before they reach
retirement age**



TAXES



Department of the Treasury
Internal Revenue Service

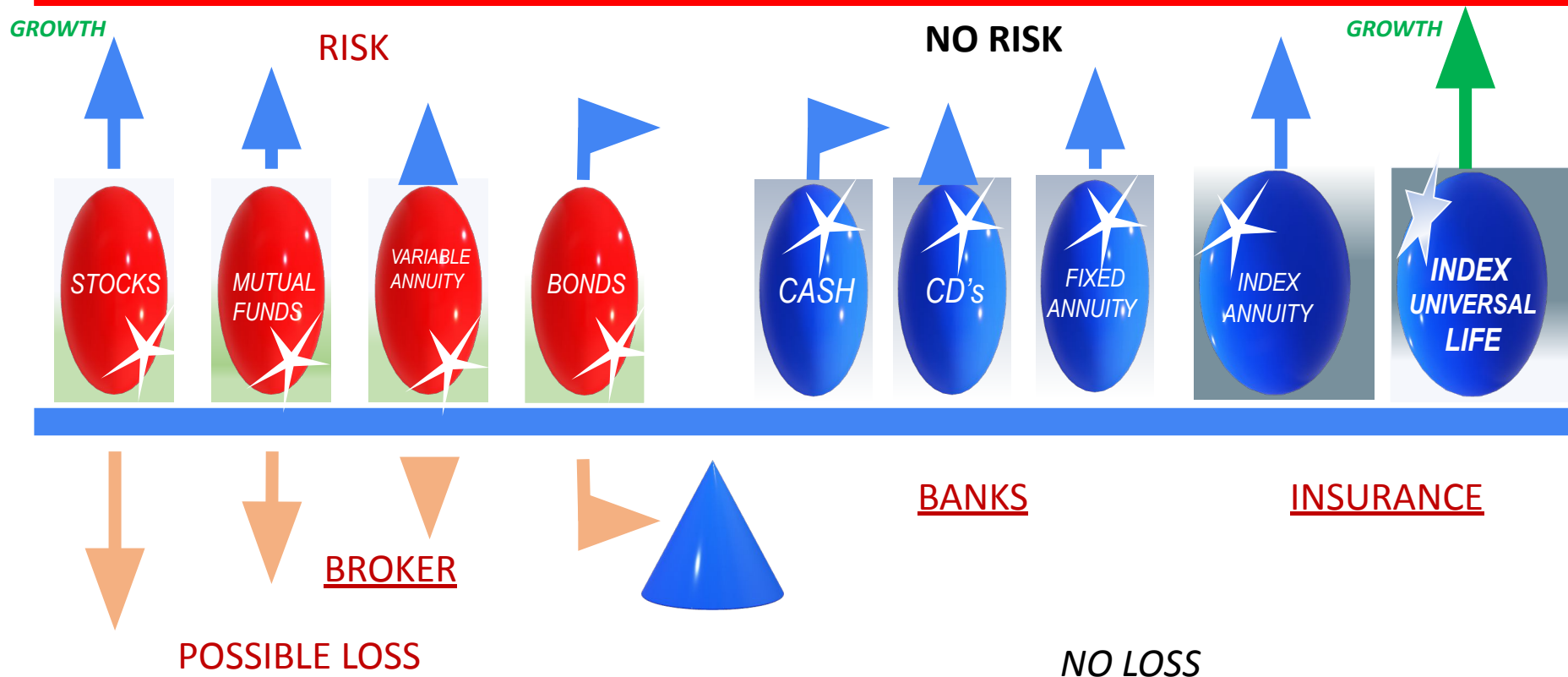
7702 RULE

Section 7702 of the Tax Code differentiates between income from a genuine insurance product and income from an investment vehicle.

Certain types of permanent life insurance build up a cash value over time.
The proceeds of a true life insurance contract receive favorable tax treatment.

*Section 7702 applies only to life insurance contracts issued after the year 1984.

WHAT'S ***YOUR*** RISK TOLERANCE?



OUR CORE SERVICES



Tax Mitigation
Strategies

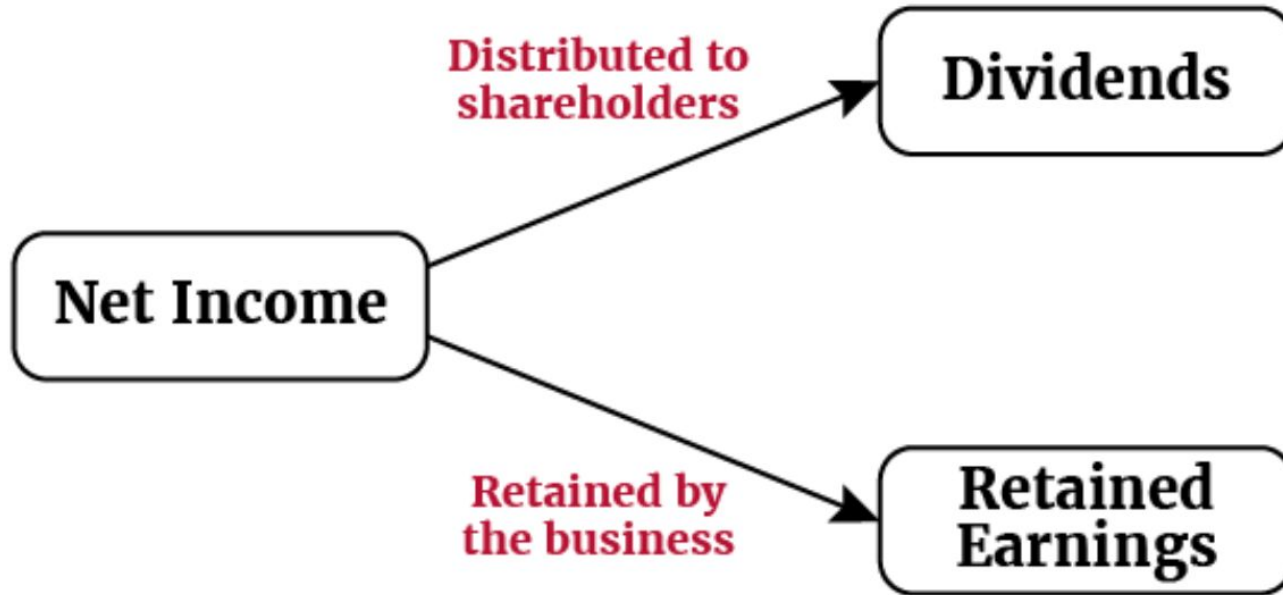


Retirement
Planning



Generation
Wealth Transfer

RETAINED EARNINGS



RETAINED EARNINGS DETAILS

What Are Retained Earnings?

- Definition: Profits left after paying taxes and dividends
- Recorded on the balance sheet
- Used for reinvestment, expansion, debt repayment

IRS Retention Limits

- Standard C Corp: Up to **\$250,000** retained annually tax-free
- Specialized fields (e.g., law, healthcare, engineering): Limit is **\$150,000**
- Requires documented business plans and board approval

Why Retain Earnings?

- **Avoid double taxation:**
 - Corporate profits taxed
 - Dividends taxed again at shareholder level
- Reinvest earnings to:
 - Finance growth
 - Build capital
 - Avoid dividend-triggered taxes

Strategic Uses of Retained Earnings

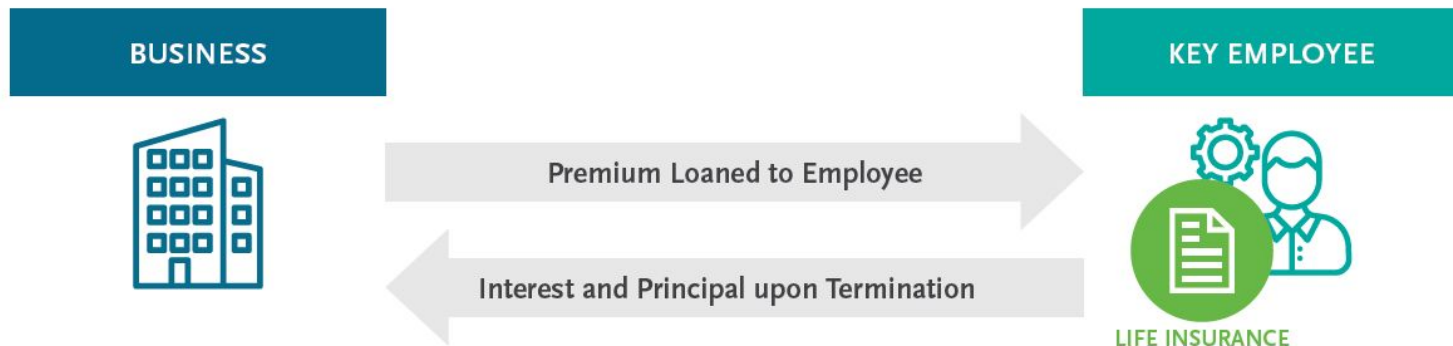
- **Business Acquisition:** Fund expansion without external capital
- **Working Capital:** Cover daily operations and unexpected costs
- **Growth Projects:** R&D, strategic initiatives
- **Insurance Premiums:** Avoid debt for coverage
- **Debt Repayment:** Reduce interest burden and improve cash flow

RETAINED EARNINGS V DIVIDENDS

Retained Earnings vs. Dividends

Feature	Retained Earnings	Dividends
Tax Efficiency	High	Lower (double taxation)
Flexibility	High	Limited
Shareholder Value	Indirect (growth)	Direct (cash payout)
Strategic Use	Reinvestment	Capital gains opportunity

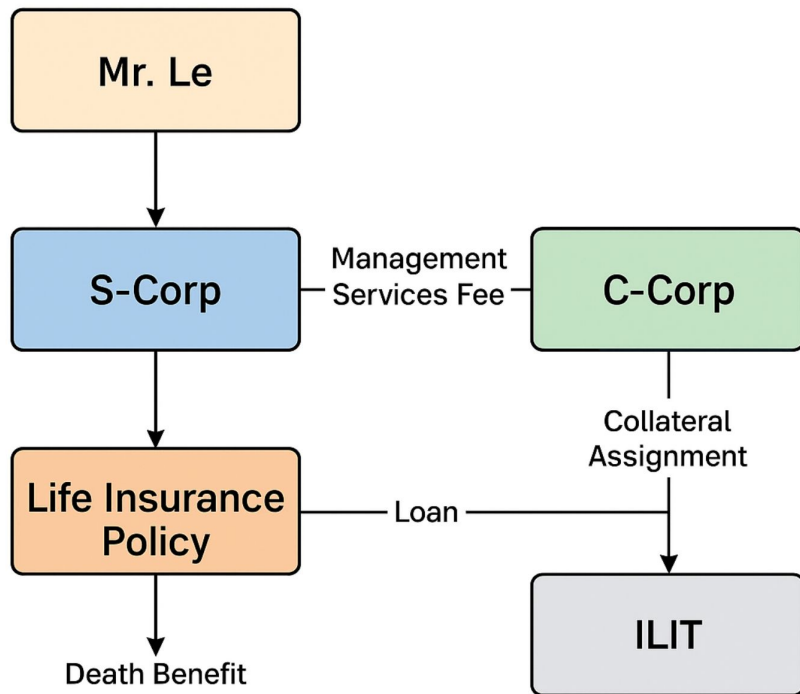
SPLIT DOLLAR



Each premium payment is treated as a new loan to the key employee.



TO ILIT



BUSINESS TAX STRATEGIES

Defined contribution

Contributions
going into the
pension
guaranteed

Typically a % of
salary each year

Pension
dependent on
investment
performance

Employee bears
the investment
risk

Defined benefit

Contributions
coming out of the
pension at
retirement
guaranteed

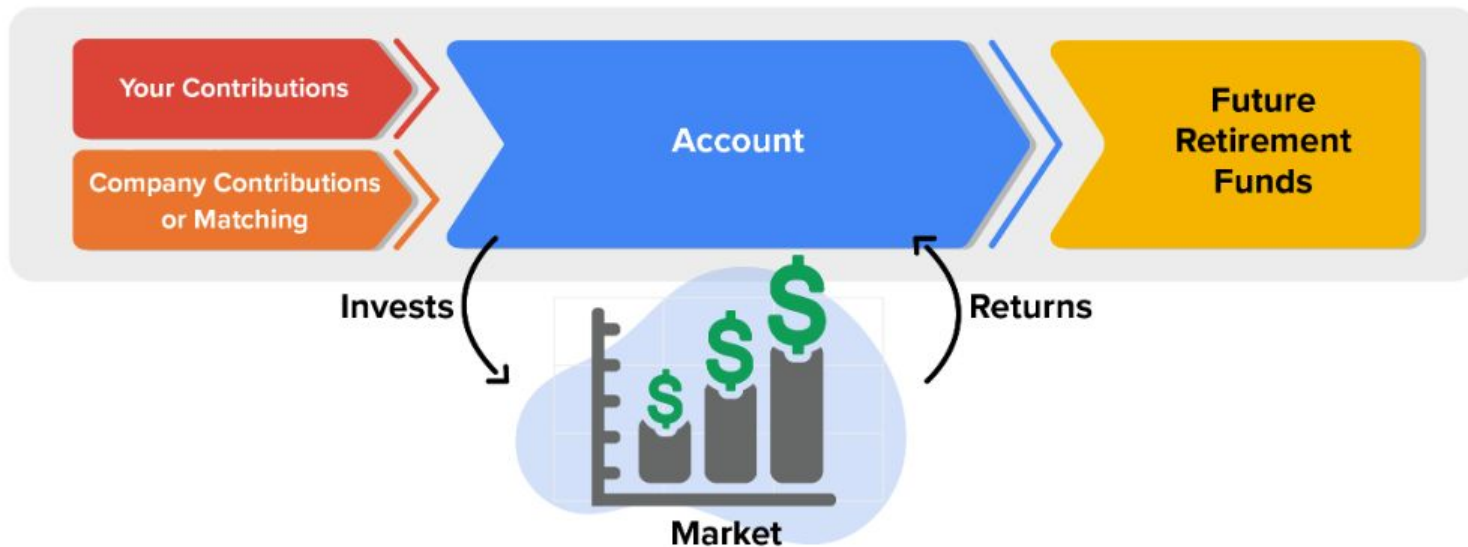
Typically a benefit
of a % of the
employee's salary

Normally a
pension fund is
established to
invest
contributions

Pension
guaranteed by
the company -
company bears
investment risk

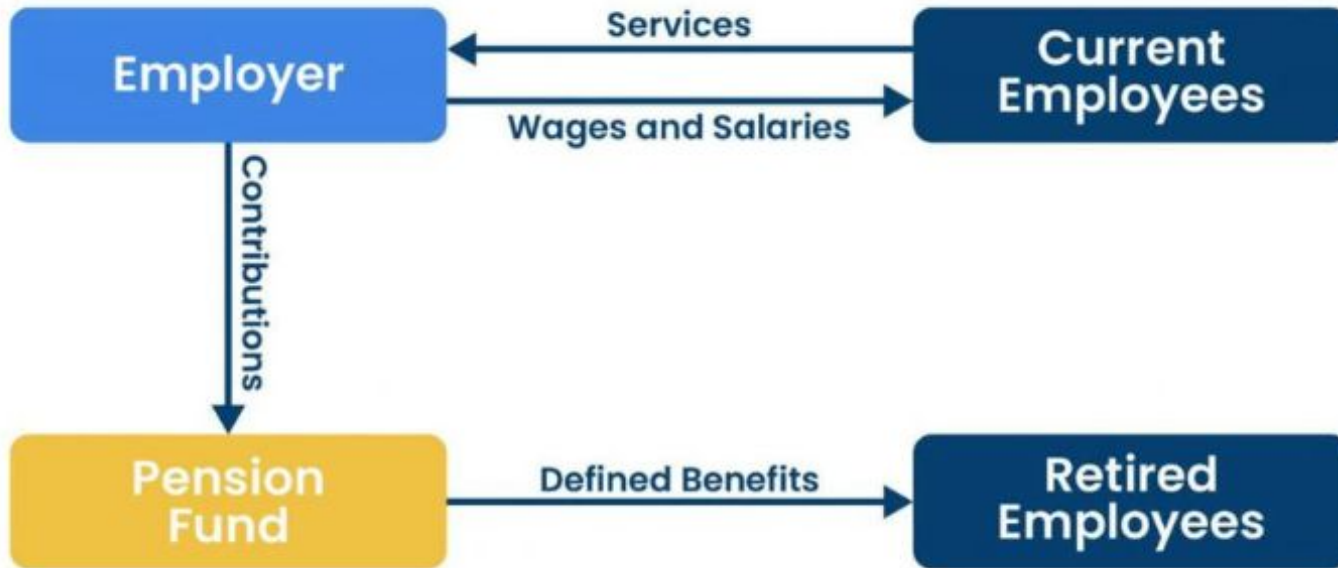
FOR EMPLOYEES

Defined Contribution Plans



FOR SMALL BUSINESSES

Defined-Benefit Pension Plan



QDBP

- Retirement program that guarantees a certain amount of residual income upon meeting guidelines
- In the past, pensions were common
- Pros:
 - Guaranteed to certain amount by 3rd party
 - Employee retention
 - Large tax deductions
- Companies do not want to commit
 - Disadvantage for companies
 - Changing employee mentally

QDBP EXAMPLE

Retirement Plan Illustration Presented For:

Plan Year: 2024

Prop # [REDACTED]

Owners

Compensation

[REDACTED]	\$	345,000
[REDACTED]	\$	345,000
[REDACTED]	\$	21,000

Employees

5 Eligible Employees \$ 211,000

OWNER SUBTOTAL

EMPLOYEE SUBTOTAL

TOTAL CONTRIBUTION

Total Contribution (DB/DC Combo)	DC Plan			DB Plan		
	401k Salary Deferral	Safe Harbor Contribution	Profit Sharing Contribution	Total Contribution	Insurance Contribution	Investment Contribution
\$231,286	\$0	\$0	\$100	\$231,186	\$92,500	\$138,686
\$224,668	\$0	\$0	\$100	\$224,568	\$0	\$224,568
\$0	\$0	\$0	\$0	\$0	\$0	\$0
\$16,510	\$0	\$0	\$9,800	\$6,710	\$2,684	\$4,026
\$455,954	\$0	\$0	\$200	\$455,754	\$92,500	\$363,254
\$16,510	\$0	\$0	\$9,800	\$6,710	\$2,684	\$4,026
\$472,464	\$0	\$0	\$10,000	\$462,464	\$95,184	\$367,280
97%						

% to Owner

- Employer's Marginal Tax Rate: 50%
- Total Tax Deductible Contribution: \$ 472,464
- Tax Benefit [1x2]: \$ 236,232
- After Tax Cost of Contribution [2-3]: \$ 236,232
- Owner Contribution: \$ 455,954

Net Economic Benefit (Cost) [5-4]: \$ 219,722



Why Pension Plans Use Life & Annuities

Cash balance pension plans use annuities to fulfill defined-benefit obligations and life insurance to enhance tax efficiency, protect participants, and accumulate plan assets.

Why Annuities Are Used

Cash balance plans are **defined-benefit plans**, meaning they promise a specific retirement benefit. To meet this obligation:

- **Annuities provide guaranteed lifetime income**, aligning with the plan's promise to participants.
- Employers or plan sponsors may **purchase annuity contracts** to fund future payouts, especially for older or retiring employees.
- This helps **mitigate longevity risk** and ensures compliance with ERISA and IRS funding rules.

Why Pension Plans Use L&A Cont'

Life insurance inside a cash balance plan serves multiple strategic purposes:

1. Tax-Efficient Asset Growth

- **Permanent life insurance policies** (e.g., whole or universal life) have **cash value** that grows tax-deferred.
- The policy's cash value is treated as a **plan asset**, helping fund the promised benefit.

2. Death Benefit Protection

- If a participant dies before retirement, the **death benefit** helps fulfill the plan's obligation to their beneficiaries.
- This adds a layer of **security and continuity** for business owners and key employees.

3. Business Succession Planning

- For closely held businesses, life insurance can be used to **fund buy-sell agreements** or provide liquidity for succession events.

4. Contribution Optimization

- Including life insurance allows for **higher deductible contributions**, especially for older, high-income participants.
- This is because the IRS permits a portion of the premium to be counted toward the plan's funding requirement.

NON-INSURANCE INVESTMENT ACCOUNT

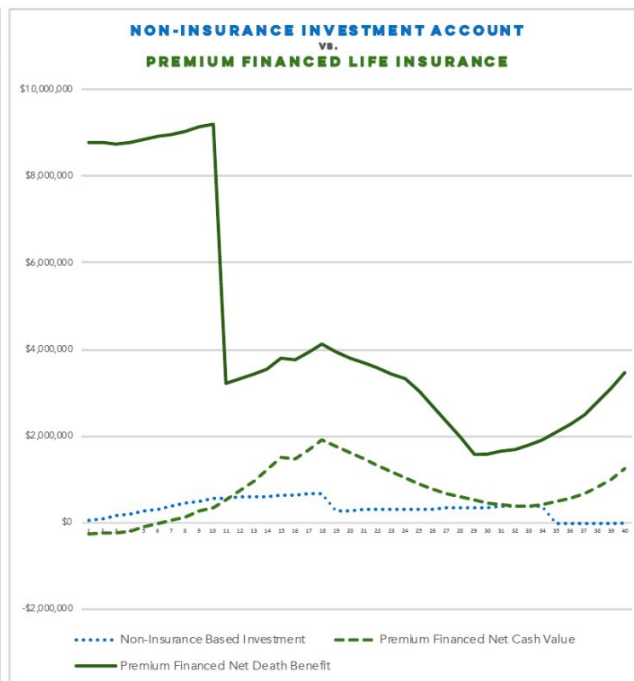
Annual contributions are the same as depicted in the Premium Financing example.
Gross returns are the same as the gross index credit in the policy. The net return assumes a tax rates at the bottom of the line graph.

TAXABLE STOCKS & BONDS ACCOUNT					6.44%
AGE	ANNUAL CONTRIBUTION	INCOME	GROSS PRE-TAX	NET VALUE	AFTER-TAX
1	47	\$50,000	\$0	\$51,109	\$51,109
2	48	\$50,000	\$0	\$103,351	\$103,351
3	49	\$50,000	\$0	\$156,752	\$156,752
4	50	\$50,000	\$0	\$211,337	\$211,337
5	51	\$50,000	\$0	\$267,133	\$267,133
6	52	\$50,000	\$0	\$324,167	\$324,167
7	53	\$50,000	\$0	\$382,465	\$382,465
8	54	\$50,000	\$0	\$442,056	\$442,056
9	55	\$50,000	\$0	\$502,968	\$502,968
10	56	\$50,000	\$0	\$565,232	\$565,232
11	57	\$0	\$0	\$577,767	\$577,767
12	58	\$0	\$0	\$590,581	\$590,581
13	59	\$0	\$0	\$603,678	\$603,678
14	60	\$0	\$0	\$617,067	\$617,067
15	61	\$0	\$0	\$630,752	\$630,752
16	62	\$0	\$0	\$644,740	\$644,740
17	63	\$0	\$0	\$659,039	\$659,039
18	64	\$0	\$0	\$673,655	\$673,655
19	65	\$0	\$-391,575	\$283,050	\$283,050
20	66	\$0	\$0	\$289,327	\$289,327
21	67	\$0	\$0	\$295,744	\$295,744
22	68	\$0	\$0	\$302,302	\$302,302
23	69	\$0	\$0	\$309,007	\$309,007
24	70	\$0	\$0	\$315,860	\$315,860
25	71	\$0	\$0	\$322,865	\$322,865
26	72	\$0	\$0	\$330,025	\$330,025
27	73	\$0	\$0	\$337,344	\$337,344
28	74	\$0	\$0	\$344,826	\$344,826
29	75	\$0	\$0	\$352,473	\$352,473
30	76	\$0	\$0	\$360,290	\$360,290
31	77	\$0	\$0	\$368,281	\$368,281
32	78	\$0	\$0	\$376,448	\$376,448
33	79	\$0	\$0	\$384,797	\$384,797
34	80	\$0	\$0	\$393,331	\$393,331
35	81	\$0	\$-391,575	\$-3,491	\$-3,491
36	82	\$0	\$0	\$-3,569	\$-3,569
37	83	\$0	\$0	\$-3,648	\$-3,648
38	84	\$0	\$0	\$-3,729	\$-3,729
39	85	\$0	\$0	\$-3,812	\$-3,812
40	86	\$0	\$0	\$-3,896	\$-3,896
TOTAL CONTRIBUTION:					-\$500,000
TOTAL INCOME:					\$783,150
YEAR 40 NET CASH VALUE:					-\$3,896
YEAR 40 TOTAL VALUE:					\$779,254

PREMIUM FINANCED SOLUTION

Client is paying a portion of the premium, borrowing the remaining premium, and accruing the interest on the principal loan balance.

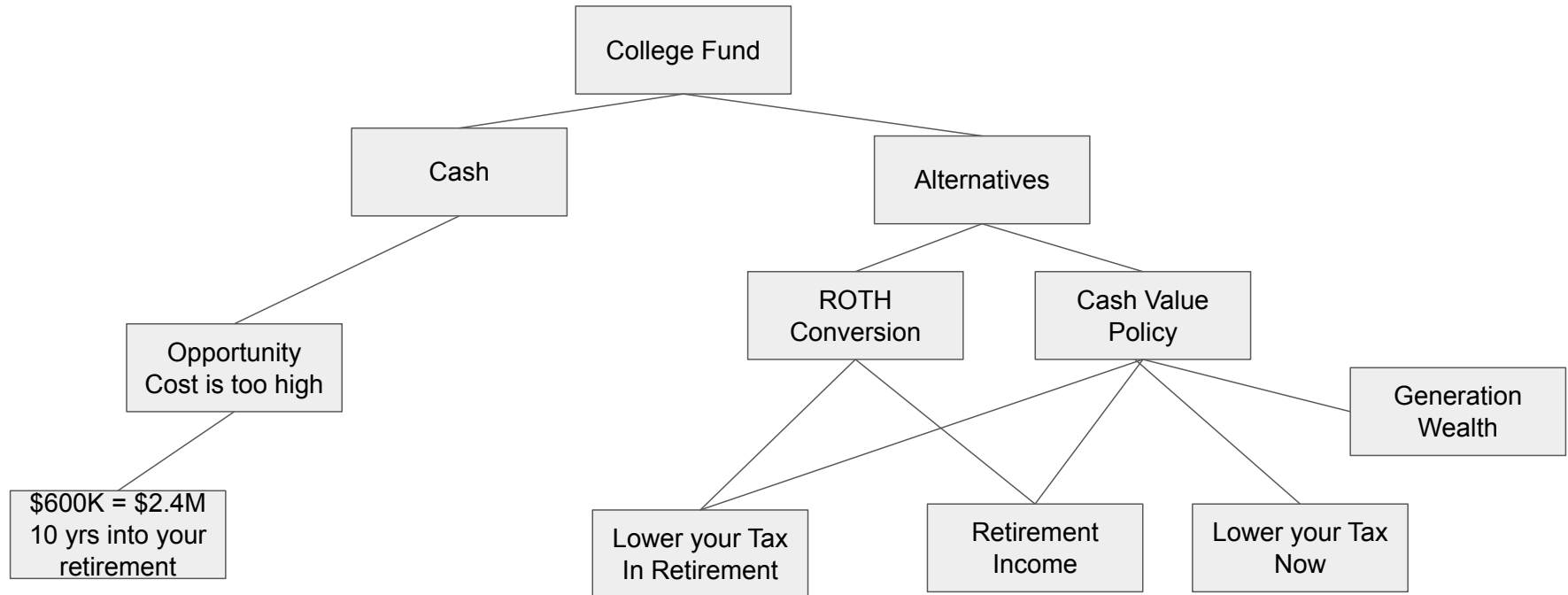
PARTIAL-EQUITY INT ACCRUAL (PREIA)					6.44%
AGE	ANNUAL CONTRIBUTION	INCOME	CASH VALUE	NET OF LOANS	DEATH BENEFIT
1	47	\$50,000	\$0	-\$255,265	\$8,775,829
2	48	\$50,000	\$0	-\$245,125	\$8,765,775
3	49	\$50,000	\$0	-\$238,921	\$8,751,520
4	50	\$50,000	\$0	-\$176,723	\$8,793,082
5	51	\$50,000	\$0	-\$92,383	\$8,856,611
6	52	\$50,000	\$0	-\$17,951	\$8,909,966
7	53	\$50,000	\$0	\$42,853	\$8,949,429
8	54	\$50,000	\$0	\$130,856	\$9,015,827
9	55	\$50,000	\$0	\$264,901	\$9,128,002
10	56	\$50,000	\$0	\$358,317	\$9,199,283
11	57	\$0	\$0	\$538,797	\$3,237,240
12	58	\$0	\$0	\$744,054	\$3,341,785
13	59	\$0	\$0	\$971,545	\$3,445,672
14	60	\$0	\$0	\$1,223,305	\$3,548,092
15	61	\$0	\$0	\$1,500,900	\$3,812,383
16	62	\$0	\$0	\$1,461,274	\$3,758,782
17	63	\$0	\$0	\$1,677,957	\$3,948,092
18	64	\$0	\$0	\$1,916,257	\$4,143,789
19	65	\$0	-\$391,575	\$1,764,571	\$3,932,182
20	66	\$0	-\$391,575	\$1,614,606	\$3,818,652
21	67	\$0	-\$391,575	\$1,466,910	\$3,701,586
22	68	\$0	-\$391,575	\$1,322,033	\$3,580,525
23	69	\$0	-\$391,575	\$1,180,612	\$3,454,998
24	70	\$0	-\$391,575	\$1,043,345	\$3,324,491
25	71	\$0	-\$391,575	\$912,882	\$3,027,894
26	72	\$0	-\$391,575	\$791,279	\$2,705,877
27	73	\$0	-\$391,575	\$682,446	\$2,358,561
28	74	\$0	-\$391,575	\$589,546	\$1,984,679
29	75	\$0	-\$391,575	\$516,387	\$1,583,096
30	76	\$0	-\$391,575	\$458,875	\$1,400,613
31	77	\$0	-\$391,575	\$418,975	\$1,440,907
32	78	\$0	-\$391,575	\$398,856	\$1,706,492
33	79	\$0	-\$391,575	\$400,714	\$1,799,921
34	80	\$0	-\$391,575	\$426,817	\$1,923,839
35	81	\$0	-\$391,575	\$479,499	\$2,080,974
36	82	\$0	-\$391,575	\$561,325	\$2,274,308
37	83	\$0	-\$391,575	\$675,196	\$2,507,200
38	84	\$0	-\$391,575	\$824,231	\$2,783,244
39	85	\$0	-\$391,575	\$1,011,631	\$3,106,149
40	86	\$0	-\$391,575	\$1,241,877	\$3,480,980
TOTAL CONTRIBUTION:					-\$500,000
TOTAL INCOME:					\$8,614,648
YEAR 40 NET CASH VALUE:					\$1,241,877
YEAR 40 TOTAL VALUE:					\$9,856,525



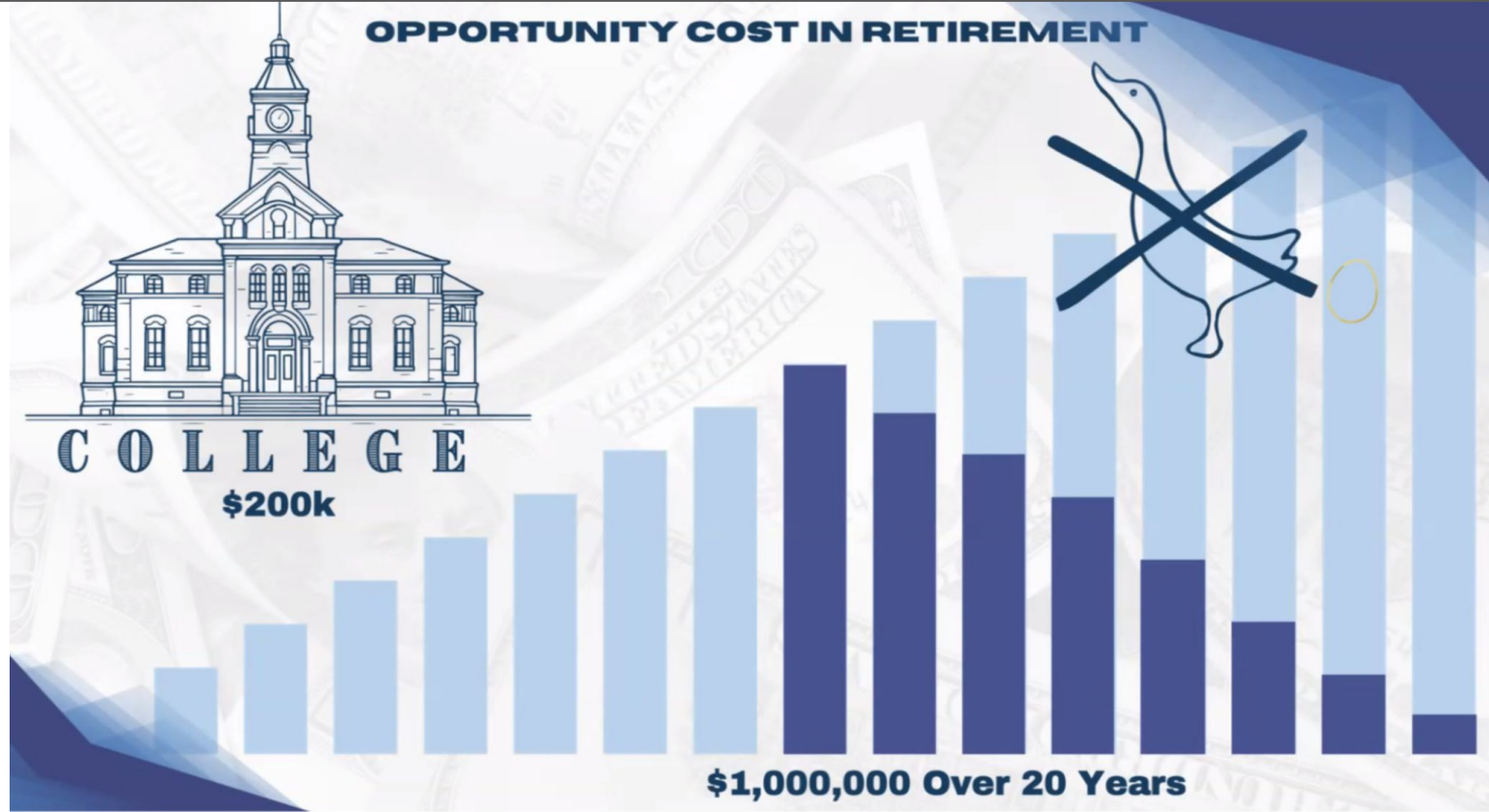
Taxable Gains Rate 50% STCG + 50% LTCG: **44.60%**
 Investment Fee Assumption: **1.35%**
 Estate Tax Rate Assumption: **0.00%**

Income Tax Rate: **53.10%**

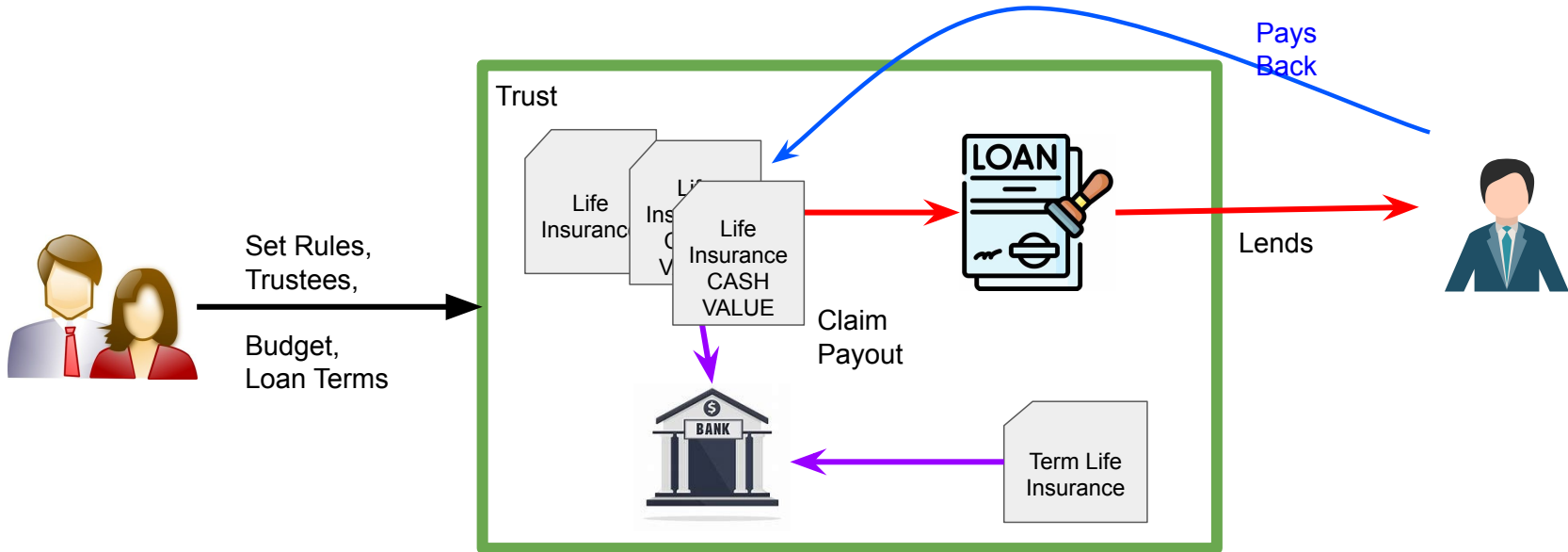
COLLEGE FUNDING



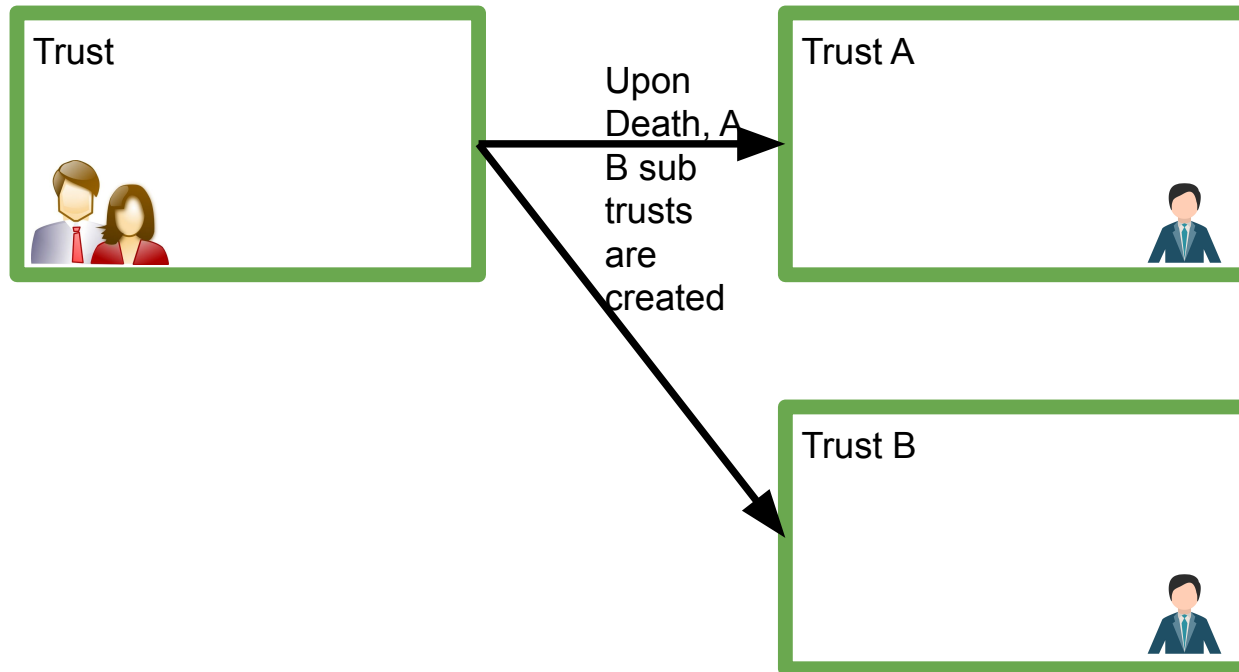
OPPORTUNITY COST



FAMILY TRUST



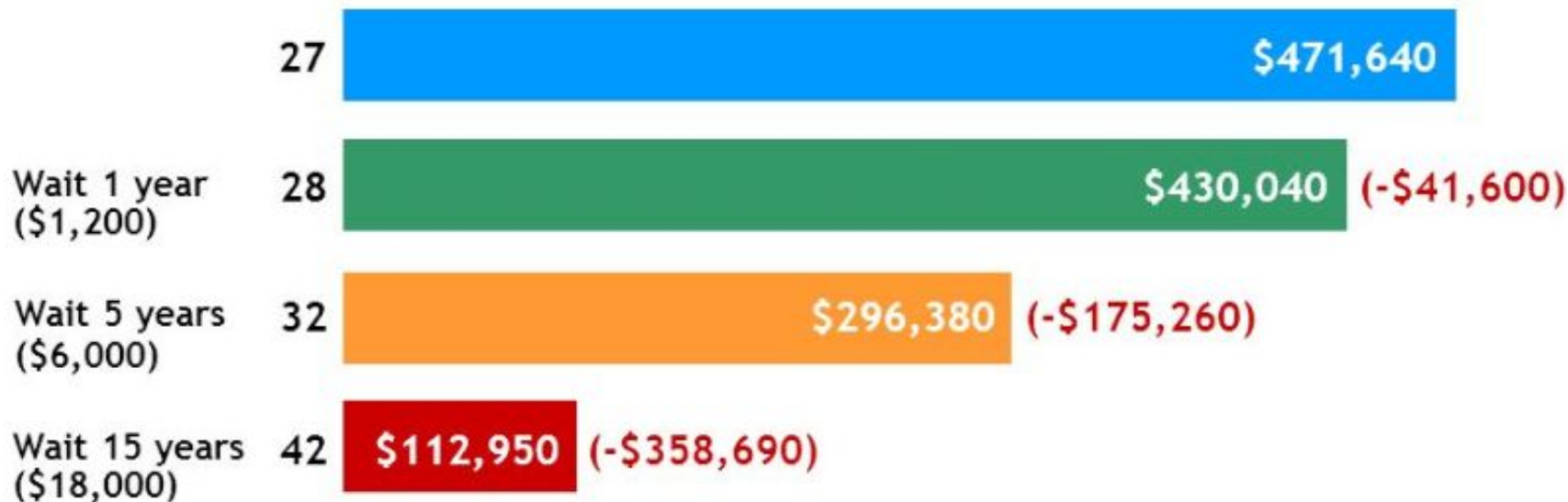
A-B TRUST



PAY YOURSELF FIRST

When you don't, there's a high cost of waiting.

\$100 Monthly Savings @ 9% for 40 Years (Age 27-67)



TERM v PERM

TERM

- ✓ Temporary need
- ✓ Lower initial cost
- ✓ Increasing premium
- ✓ Pay as you go
- ✓ Fixed expiry date
- ✓ Fixed value over a limited time period
 - Level death benefit
 - NO CASH VALUE
- ✓ Benefit paid at death

Combination
of
TERM
and
PERMANENT

PERMANENT

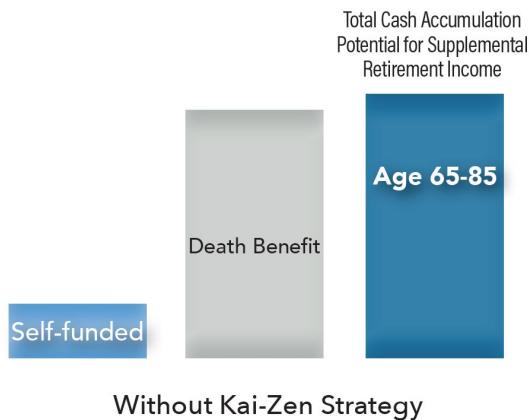
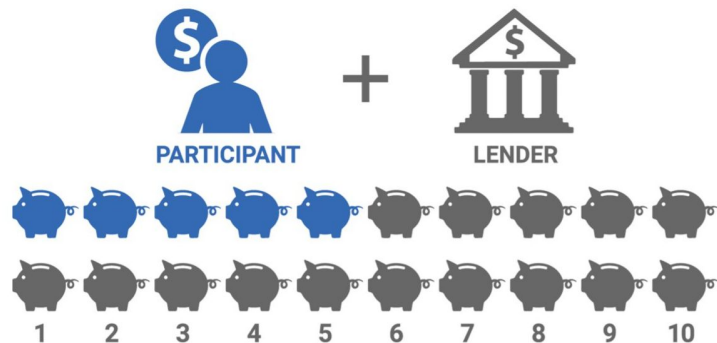
- ✓ Permanent need
- ✓ Higher initial cost
- ✓ Level premium with built-in flexibility
- ✓ Buy and own
- ✓ Coverage for life *
- ✓ Increasing value over your lifetime*
 - *Level or increasing death benefit*
 - *Access to tax-advantaged accumulated cash value*
- ✓ Receives benefits during life and at death
 - *Access to cash value while living*
 - *Life insurance proceeds at death*

IUL VS **401(k)**

Tax-Deferred Contribution (Tax May Be Higher On Withdrawals)		 * May affect other benefits
Potential market upside		
Contribution Matching	 * Yes if Kaizen	
No Contribution Limit		
Market downturn protection (0% floor)		
Credited Gains Locked-in		
Potential Tax-Free Income		
Tax-Free Death Benefits (Explosion of Wealth)		
Living Benefits Payout (Heart Attack, Stroke, Cancer)		
Chronic Illness Payout		
Accessibility of Funds Before 59 ½		 * Loan available but must repay
Immediate Estate (Generational Wealth)		
Leverage for Infinite Banking (Be Your Own Bank)		
FIRE (Financially Independent, Retire Early)		

	Traditional IRA/401K	Annuity Cash	IRA inside Annuity
Tax-Deferred Contribution	✔	✔	✔
Potential market upside	✔		✔
Contribution Matching	✔	✘	
No Contribution Limit	✘	✔	✘
Market downturn protection (0% floor)	✘	✔	✔
Credited Gains Locked-in	✘	✔	
Taxable Gains	✘		
Tax-Free Death Benefits (Explosion of Wealth)	✘	✔	
Chronic Illness Payout	✘	✔	
		✔	
Accessibility of Funds Before 59 ½	✔ * Loan available but must repay	✔	✘
			✘

LEVERAGE TO MAX GROWTH POTENTIAL



KaiZen



LTC V LIFE INS W/ ABRs

	LTC	Life Insurance w/Living Benefits
Limit	Specified Amount	Varies
Money	Reimbursement	Cash payout
Cash Savings		
Death Benefit		
Critical Illness and Injury		
Use money for emergencies		
Elimination Period	90, 180, or 365 days	90 days

MONEY VEHICLES

PROS

Secured
FDIC Insured
Liquid

Guaranteed 0% Floor
6 - 8% Average Gain
Tax Free Distributions
Insurance (Death, Illness)

Uncapped Gains
Tax Deferred Growth
Shareholding



ACCOUNT TYPE



CONS

Low Gains (avg 0.06%)
Limited Withdrawals
Only Insured Up To \$250k

Policy Fees
Capped Gains

Subject To Market Crash
Uncertain Tax Rates
Company Closures

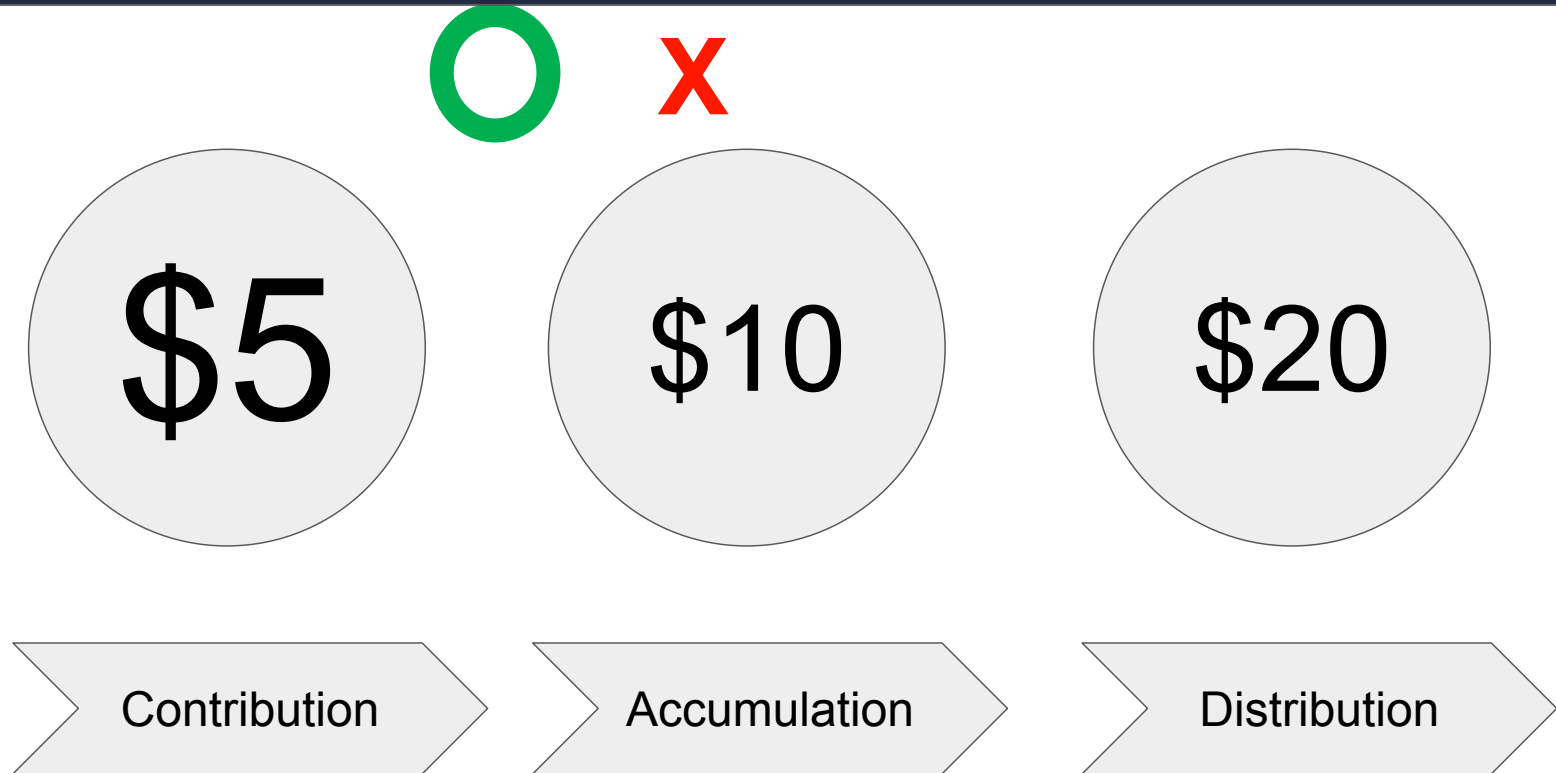


Maximize Your Tax Advantages



You can only get two of the three!

3 PHASES OF RETIREMENT - TAXES



KEY-MAN & BUY-SELL

Key Man Insurance

- Cover the cost of replacing a key person
 - Usually 10x the salary
 - Cost: Salary (\$100K) + Benefits (33%) = \$133K
 - To replace: New salary (\$130K) + 33% Benefits = \$175K
 - 2-3 years rebuild → \$600K of cost

Buy-Sell Funding

- Based on Buy-Sell Agreement
 - How to Fund? Buy-Sell Insurance Policy
 - Partners: Each owns the other's policy.
 - Company owns policies.

EXECUTIVE PROGRAMS / BONUS

- Pre-requisite: Executive Employment in Place
- Usually Executives are bonus via Cash
- Owners would put into contract bonuses are paid into a life policy
 - Owner: They still want Cash Value in their books
 - Rather than paying cash → Bonuses are paid into the policy
 - If retired or term completion:
 - Life Policy can be given to the Exec
 - To be bought out by Exec

SELF DIRECTED IRA

- Allows you to control where to invest your retirement monies
 - Real estate, crypto, precious metals, etc
- Create Self-Directed IRA
 - Open Self-Directed Account
- Structure
 - Self-directed administrator
 - Accounts Under Custody (No investment advisors) vs AUM
 - No AUM fees
- Fees
 - Minimal account transfer, distributions
- Risks:
 - Client determines risks: Based on your investments
 - AUC company does NOT hold your money

Establishing Line of Credit

	Brokerage (Margin)	HELOC	VUL	Whole	IUL
Market Risk	High	Medium	High	None	None
Fees Risk	No	Yes	Yes (minimized)	Yes (minimized)	Yes (minimized)
Loan Call	Yes	Yes	No	No	No
Lapse Risk	Yes	Yes	Medium	Low	Low
Underwriting	Cash Value / LTV	75% Equity & DTI	Cash Value	Cash Value	Cash Value
Repayment Schedule	Flexible, Margin Call	1st 10 yrs: Interest 10+: Amortized	Flexible / At Death	Flexible / At Death	Flexible / At Death
Policy Loan Rate	8-10%	8%-9%	4.6-5% (Var/Fix)	5.2%-8% (Fix/Var)	4.6-5% (Var/Fix)
Lender	Brokerage Firm	Bank	Insurance Co.	Insurance Co. ~5% Bank: 7-8%	Insurance Co.
Benefits	Fast, Available No U/W	Available, incoming rent	Uncapped returns, No U/W	Wash loans, No U/W, Consistent dividends	Arbitrage, No U/W, 0% floor protection
Disadvantages	High costs, market loss	U/W, 30-days, Costs, Changeable, Income	Uncapped downturns	Little/No arbitrage	No arbitrage

